

Article | 8 September 2026

FX RATES

September ECB Cheat Sheet: Pick your poison

The ECB must decide which risk is the lesser evil: overtightening (and potentially upsetting European bonds) or underestimating inflation. A 25bp hike is widely expected on Thursday, and we think the Bank may strike a more cautious tone – dovish, relative to markets' aggressive pricing. As usual, we outline four scenarios and market implications



This is our market preview of June's European Central Bank meeting; you can find our macro team's preview [here](#).

A dovish-leaning hike

The ECB is likely to deliver a 25bp rate hike to 2.50% on 10 September. In line with its new, somewhat unorthodox communication style, the Bank had already all but pre-announced the move through media guidance following the July meeting. Recent developments have only strengthened expectations for further ECB tightening. This week's hike is fully priced in, and markets are discounting a cumulative 75bp of additional hikes by June 2027.

We feel the ECB needs to signal to markets what its greatest concern is at the moment:

inflation or overtightening risk. On both fronts, the news has been more encouraging than expected. Core inflation remained well-behaved and edged down to 2.4% in August, while growth surprised to the upside. The wildcard remains bond market instability. We suspect this could push the ECB towards a less hawkish stance. With fiscal concerns mounting and bond yields rising, we are not convinced the Bank is ready to add fuel to the fire by embracing a more worrying inflation narrative.

Incidentally, any hikes beyond September would move policy from the "insurance" end of the spectrum into "restrictive" territory. That shift still lacks sufficient support from the data. Markets may also be underestimating concerns about overtightening and the potential spillover into European bond markets. As a result, our baseline scenario, outlined below alongside three alternatives, is for an ECB meeting that leans dovish relative to very hawkish market pricing.

Four scenarios for the 10 September ECB meeting

	 Inflation outlook	 Growth outlook	 Interest rates		
Current stance	Upside risks due to higher energy prices, second-round effects possible	Risks tilted to the downside, especially in the near term, due to the Middle East war	Depo rate at 2.25%. Data-dependent, meeting-by-meeting approach	EUR/USD (1.161)	10Y Bund (3.40%)
Very dovish	Projections suggest contained risk of second round effects	Balance of risks remains on the downside, playing down resilience so far	25bp hike. Signalling a prolonged pause and concerns on bond market	1.150	3.30%
Dovish ING base-case	Inflation revised slightly higher, balance of risks broadly unchanged	Outlook improved but risks still to downside	25bp hike. Slight pushback against market pricing, keeping options open	1.157	3.35%
Neutral	Latest re-escalation is bringing fresh upside risks to inflation	Greater emphasis on improved projections, risks are now balanced	25bp hike. Signalling another hike in coming months possible	1.163	3.40%
Hawkish	Inflation impact possibly bigger than initially thought, requiring continued action	Larger than expected upward revision in growth projections, risks balanced	25bp hike. Clear hints of another hike in October and potentially more afterwards	1.168	3.45%

Source: ING

Rates: Hawkish sentiment already stretched

The curve already prices in a hawkish ECB path, which raises the bar for another move higher in rates. Also, the latest move up in oil prices was already closely matched by higher rates. Meanwhile, we see an upward revision in growth expectations as economic data has been consistently surprising consensus to the upside. We doubt the ECB will emphasise this narrative, however, as uncertainty remains high. The balance of risk is therefore to a slightly dovish rate reaction, as no confirmation is given of further hikes.

The bigger question is about the terminal rate, which markets currently price close to 3%. The average in 2025 was around 2%, which therefore marks a significant upward revision of some 100bp over the past few months. Oil is only part of this story and cannot explain the full move higher. Other factors include a better growth outlook and rate spillovers from the US. Unfortunately, the ECB is unlikely to comment on this as the current approach is more focused

on near-term inflation risks than structural concerns.

FX: Some downside risks for the euro

The ECB has not been the most visible driver of EUR/USD, with US data and Fed communication generating much larger intraday moves. Still, the market's hawkish view on the eurozone has helped underpin euro resilience despite a deteriorating geopolitical and commodity backdrop.

Our call for a dovish hike by the ECB this week means some downside risks for the euro as those hawkish convictions may start to be challenged. We don't think the ECB is willing to prompt a sharp repricing lower in rate expectations, but a more cautious tone may prove particularly at odds with a Fed hike (our expectation) next week.

In our view, that would leave EUR/USD facing a less supportive backdrop in the coming weeks. Our near-term target remains 1.150, even though we continue to expect a return to 1.160 by year-end. Our latest FX views and forecasts can be found [here](#).

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THINK Economic and financial analysis

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Article | 2 September 2026

ECB preview: How to hike rates without creating more market turmoil

We expect the ECB to hike interest rates by 25bp next week. As long as inflation remains mainly energy-driven, hiking rates further beyond next week would not make a lot of sense and could harm the eurozone economy



The European Central Bank looks set to hike rates by 25bp next Thursday

The stage looks increasingly set for another rate hike at next week's European Central Bank meeting. Not only because some ECB members already advocated for a rate hike at the July meeting, but also because, since then, the eurozone economy has shown an almost unexpected resilience to the war in the Middle East. This is partly due to good luck and to Asian competitors being hit harder by the closure of the Strait of Hormuz and losing orders to European competitors, but also to long-announced fiscal stimulus.

At the same time, headline inflation has continued to edge higher and looks set to stay above 3% year-on-year for the remainder of the year, even if other inflation measures like core and services currently provide no reason to panic. With oil prices remaining elevated and the risk of a fresh gas price shock increasing, it will be hard for most ECB policymakers not to see a clear case for another rate hike.

Even if the ECB doesn't like the term, the second rate hike this year would also fall into the

category of 'insurance rate hike', or maybe more to the central bank's liking: a rate hike to strengthen its credibility and to preempt any possible indirect or even second-round effects from the current energy price shock.

No clear signals from the new staff projections

The new round of staff projections will not bring any significant changes but should remain supportive for the rate hike proponents. Given that the cut-off date for the staff projections is normally some two weeks before the Governing Council meeting, the latest surge in bond yields as well as higher energy prices again will not have played a role in the forecasts. In fact, until a week ago, the so-called external assumptions were almost at similar levels as in the June forecasts.

Against this background, we expect the ECB's growth and inflation forecasts to be revised upwards slightly, mainly due to earlier statistical upward revisions of first-quarter growth and slightly higher oil prices. Base and carry-over effects could lead to marginally higher growth and inflation forecasts for 2027. More generally speaking, it will be interesting to see whether the ECB will also present updates of the alternative scenarios from June. While in July it almost looked as if the ECB's 'milder' scenario could materialise, we are now rather somewhere between the 'base' and 'adverse' scenario.

Looking beyond next week

Whether the ECB will really go beyond a September rate hike is a completely different story. Markets have started to price in at least another hike before year-end, and views at the ECB seem to increasingly diverge. While an ECB blog article this year supported our own view that the current inflation wave is mainly driven by energy prices and that drivers matter when identifying (and reacting to) an inflation shock, comments by Isabel Schnabel and Irish central bank governor Gabriel Makhlouf hint at a clear willingness to hike further.

However, with one additional rate hike (next week), the deposit rate at 2.5% would still be within the range the ECB itself calls neutral. Going further would mean that the ECB sees restrictive monetary policy as necessary. But there is a big difference between an economy that has shown resilience and an overheating economy that needs restrictive monetary policy. We still find it hard to see – amid public finance woes and surging bond yields – that the ECB would really be willing to add more fuel to the fire. Or in other words, it's difficult to envisage the ECB being willing to risk a recession to tackle what is still a textbook supply-side shock.

ECB's reaction to the recent surge in bond yields

Another topic for next week's ECB meeting and the following press conference will be the latest surge in bond yields – and, related to this, concerns about debt sustainability in Europe (and

elsewhere). At first glance, this surge is actually coming in handy for the ECB. Bond markets are doing the ECB's job, i.e., tightening financing conditions. According to macro models, a 50bp increase in bond yields has a slightly larger impact on inflation and GDP growth than a 50bp increase in the ECB's policy rate.

Consequently, the main challenge for the central bank will be not to add too much fuel to the fire. Remember the unwarranted tightening of financing conditions. In fact, as long as inflation is not under control, it is not so much the absolute level of long-term interest rates but rather the spread between eurozone countries that is of most concern for the ECB. Some tightening of financing conditions can ease the ECB's job; too much tightening, and unequal tightening, would bring new problems.

This is why questions may eventually arise as to whether the ECB would be willing to restart asset purchases, now under the label of the Transmission Protection Instrument. Let's be clear, this is not a debate for now. But if debt sustainability concerns grow, possibly ahead of next year's French presidential elections, markets might want to test the ECB. We have seen it before. In this context, a debate that has so far been confined largely to the yellow press might become more policy-relevant: the possibility of an early exit for Christine Lagarde as ECB president and the question of who would be her successor. Some of the names of possible candidates currently circulating have, at least in the past, not been strong supporters of quantitative easing.

All in all, we expect the ECB to hike interest rates by 25bp next week. Another insurance rate hike. Or for those who don't like this term: a dovish rate hike.

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Article | 3 September 2026

HEALTHCARE

Trump's MFN policy is reshaping global pharma, not prices

The Trump Administration this week announced nine new most-favoured nation (MFN) deals with mid-sized pharma companies. As the MFN model continues to expand, its implications for the industry are becoming increasingly clear: the US is attracting investment and Europe is losing out. The benefits for American patients, however, are far less certain



The recent most-favoured nation deals are not likely to result in lower prices for US patients, but will bring investment into the US

The US consumer is yet to see a significant drop in medicine prices

The nine new agreements expand the MFN framework to 26 manufacturers, which, according to the White House, covers around 89% of the branded drug market. However, this does not materially alter our core view that the direct impact on branded pharmaceutical margins will remain limited.

We have consistently argued that MFN pricing, which links US drug prices to those paid in other developed markets, does not necessarily trigger broad-based price cuts in the US for three

reasons:

- First, price cuts for current drugs only apply to Medicaid, which makes up just 10% of the US market.
- Second, MFN only applies to new launches and manufacturers can partly manage the reference price by delaying or limiting launches in lower-priced markets.
- Third, it is likely that pricing agreements will exclude medicines that are used exclusively for rare diseases.

Given that the US is responsible for roughly 50% of revenues and often around two-thirds of branded pharma profits, companies have an incentive to delay launches in other markets. The incentive to delay a lower-priced European launch will be strongest for medicines whose revenues depend primarily on maintaining a high price, rather than on generating large volumes at a lower price.

The impact of MFN on prices is therefore manageable for the industry. It is no wonder, then, that we have seen many branded pharma companies raise guidance over the past year, signalling that these agreements generally protect profitability.

But the policy will attract manufacturing to the US

While the direct pricing impact of MFN may be limited, the policy is likely to further accelerate the shift of pharmaceutical manufacturing to the United States. Tariffs and pricing pressures are a powerful incentive to localise production because the US market is so profitable. The nine latest signatories committed at least \$19.6bn in US manufacturing investment, bringing total announced industry commitments since tariffs and MFN to nearly \$670bn.

More broadly, both Republicans and Democrats increasingly view pharmaceuticals and biotechnology as strategic industries critical to national security, meaning that policies that strengthen US control of biopharma supply chains will likely be structural rather than just a Trump-era phenomenon.

Europe faces an access issue and lacks a coherent response

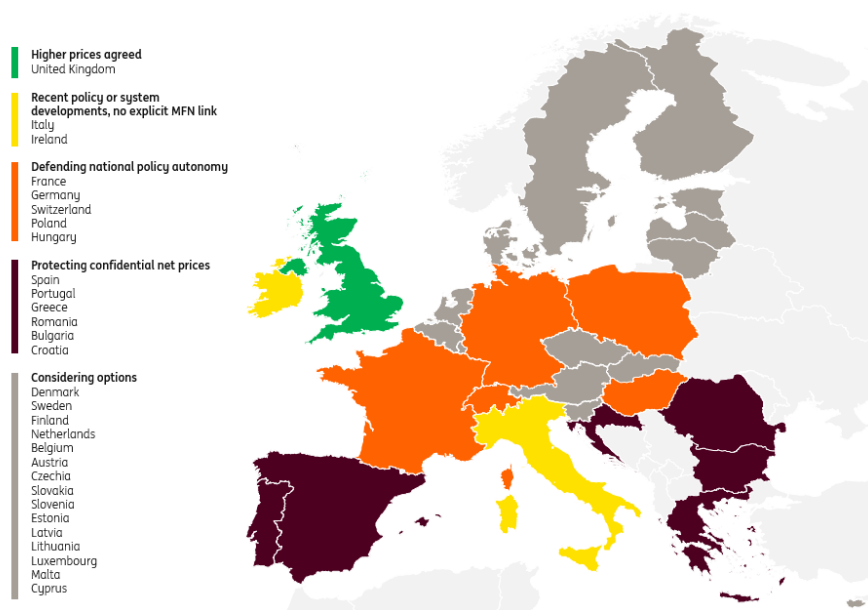
For countries used as pricing benchmarks, MFN means an increasing access challenge. As US prices are elevated, medicine launches in reference countries may be delayed. Through the first four months of 2026, we have seen a decline of 25% in drug applications at the European Medicines Agency compared to the same period last year. Europe, therefore, faces an increasing access issue, which is bad news for European patients.

European policymakers have so far offered a limited and uncoordinated response. Many governments seem to want to ignore the issue, while only the UK has increased its prices for new innovative therapies and Ireland and Italy have recently enacted reforms, though without an explicit link to MFN.

The unwillingness of many European governments to address this issue is understandable given fiscal pressure from increased healthcare and social security spending due to ageing populations and increased defence spending. However, we believe upward price pressure from the American government and the industry will not go away.

Europe's response to MFN has been mostly wait-and-see

EU27 + the UK and Switzerland classified according to their response to MFN



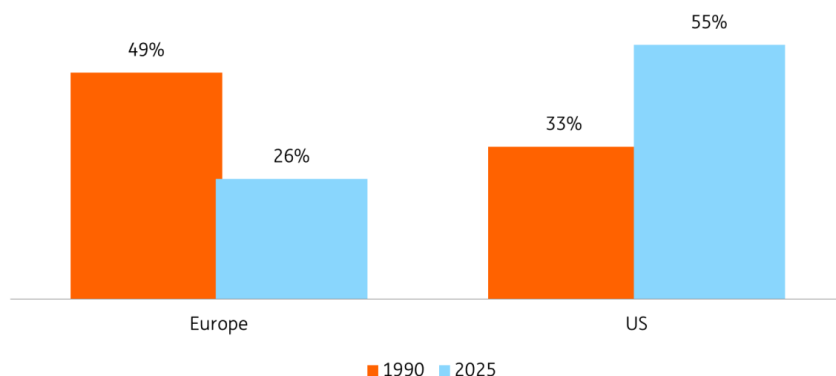
Source: ING

Increasing prices is not enough to fix Europe's competitiveness issue

This means that Europe needs a more coordinated response, not just because of MFN, but also because of the EU's ambition to make Europe [the most attractive place in the world for life sciences](#). In fact, the continent is losing ground to both the US and [China](#): Europe saw its share of global clinical trials decrease from roughly 35% in 2009 to roughly 20% in 2024, and its share of global private R&D has declined significantly since 1990, while the share of the US has more than doubled.

European share of R&D spending has declined rapidly

European and American biopharmaceutical R&D spending as a percentage of global spending in 1990 and 2025



Source: ITIF; ING

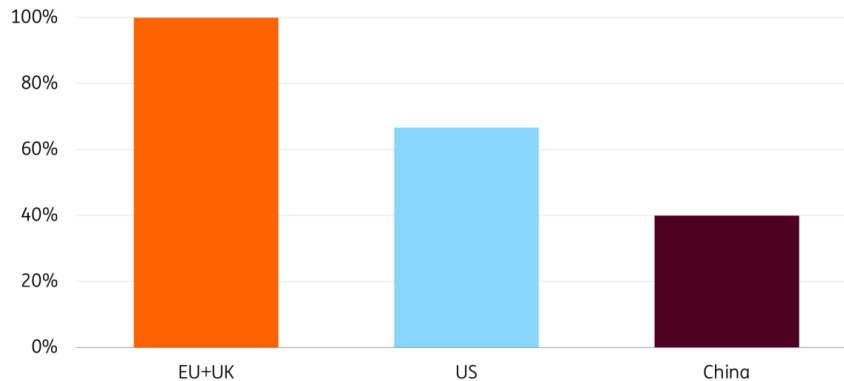
The structural issue at the heart of this decline is not a result of MFN; the policy merely exposes and may intensify longstanding weaknesses in the continent's life-sciences model. In contrast to what many in the industry say, this competitiveness issue is not simply a result of price, but rather of the continent's institutional setup.

Although the EU is technically one market, health policy is still a national policy domain. This means that Europe has a common medicine authority, but still has 27 different Health Technology Assessment (HTA) frameworks, 27 different pricing regimes, and it lacks a common capital market, which means that European biotechs tend to be funded by US venture capital and private equity funds as they mature.

These biotechs then tend to launch in the US because they have to deal with only one regulator and can enter a market of 300 million people and command a higher price, which is why Europe faces a problem commercialising its science. Europe therefore risks losing appeal both as a launch market and as a destination for future pharmaceutical investment, despite the sector's substantial economic contribution.

Europe's scientists are top-notch

Number of citations in top pharma journals as a percentage of 'leader'



Source: ING estimates based on Coface and NIH

The European Commission has correctly identified many of these challenges through initiatives such as the Pharmaceutical Package and the Biotech Act. However, progress at the national level remains lacklustre. As a result, increasing drug prices alone would do little to reverse Europe's declining attractiveness unless accompanied by broader reforms that improve market access, funding, regulatory alignment and the ability to commercialise innovation at scale.

MFN boosts US investment, hurts Europe and offers little relief to drug prices

While the White House presents the latest agreements as a major win for patients and public budgets, the impact on drug spending may be more limited than the headlines imply. MFN savings are likely to be concentrated in specific medicines rather than translating into a broad reduction in pharmaceutical expenditure.

The more significant consequence will be for investment flows: the policy strengthens incentives to locate production and investment in the United States.

As Europe still needs to formulate a coherent response, the region risks becoming a less attractive launch market for innovative medicines and could gradually lose out on future pharmaceutical investment, clinical development activity and manufacturing capacity.

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Article | 9 September 2026

TURKEY

Monitoring Turkey: Further easing likely in fourth quarter

The CBT has lowered the effective funding rate from 40% to 37%, citing easing inflation risks, weaker domestic demand, and improving monetary transmission. Growth is slowing, inflation should fall below 30% this year, reserves have markedly recovered, and the CBT has resumed asset purchases while markets increasingly anticipate future rate cuts



- Turkey's Medium-Term Plan for 2027-2029, which projects above-consensus growth led mainly by domestic demand, also envisages higher inflation, increased primary spending, and a wider current account deficit than the previous plan for the next year.
- At the inflation report release meeting, Central Bank of Turkey Governor Fatih Karahan's key message was that normalising liquidity easing, which would reduce the effective funding rate from 40% to 37%, is on the agenda. According to the Governor, the worst appears to be behind us in the US-Iran conflict, and no extremely adverse developments are expected under current conditions. As for the factors shaping the inflation outlook, the economic slowdown has become much clearer, particularly in domestic demand indicators. The CBT also views low core goods inflation and easing inertia in services inflation as evidence that the demand channel and monetary transmission mechanism are working. Therefore, while the deterioration in inflation expectations has remained limited recently, upside risks to the outlook are fading. In turn, in the second half of

August, the CBT started weekly repo auctions, reducing the effective cost of funding and TLREF directly to the level of the policy rate.

- Elevated borrowing costs and the recent tightening of macroprudential measures appear to be translating into a more pronounced slowdown in 2Q26 GDP growth. Despite a clear loss of momentum and the lowest contribution since 2024, domestic demand, particularly private consumption, remained the main driver of economic activity in the previous quarter. At the same time, the contribution from net exports has shifted back into positive territory. We expect the economy to maintain a moderate growth performance in the second half of the year, increasing the risks surrounding our full-year GDP growth forecast of 3.0%. A potential resolution of the Gulf conflict could ease current downside pressures on the economic outlook and provide some support to growth prospects, while any further escalation would add to downside risks.
- Slightly lower-than-expected August CPI data helped maintain a downtrend in the annual figure, though the pace of disinflation is quite slow. Uncertainty surrounding oil prices – along with their spillover effects on other commodity prices – continues to pose risks to the inflation outlook. The resumption of the Iran-US peace process, on the other hand, would abate geopolitical tensions and help oil prices return to prewar levels, which in turn would be supportive for the inflation outlook. We expect annual inflation at 29.2% at the end of 2026. The weaker-than-expected 2Q data is also likely to reinforce expectations of policy rate cuts by the CBT. While the bank is likely to remain on hold at the September MPC given the limited time that has elapsed since its liquidity move, we see the policy rate at 35% by the end of 2026 with two 100bp cuts in the last quarter.
- Foreign investor positioning has recovered from the US-Iran conflict shock, with FX swaps exceeding pre-war levels and reaching highs. However, bond inflows have remained modest on a year-to-date basis. Meanwhile, TL deposit inflows continued, while the sector's dollarisation ratio fell from 39.9% in May to 38.5% by late August. Gross reserves reached US\$188.2bn.
- In its 2026 strategy, CBT planned to increase its Open Market Operations portfolio to TRY450bn this year. The bank had already purchased TRY220bn until 3 April, bringing the portfolio up to target. However, the size has declined recently due to maturities, and the CBT decided to replenish that amount. Additionally, given developments over the course of the year, the balance sheet size has been running somewhat above the level the bank had initially projected and determined as the target size for the portfolio. Accordingly, the CBT started purchase auctions on 20 August and has purchased TRY29.5bn (nominal) as of 4 September.

Quarterly forecasts

	2Q26	3Q26F	4Q26F	1Q27F	2Q27F	3Q27F	4Q27F	1Q28F
Real GDP (%YoY)	2.5	2.6	3.4	3.5	3.8	4.0	4.2	3.7
CPI (eop, %YoY)	30.9	32.1	29.6	29.0	26.1	23.5	22.4	22.0
Central bank key rate (eop, %)	37.00	37.00	37.00	35.00	32.00	30.00	28.00	26.00
3m interest rate (eop, %)	47.18	42.98	38.31	34.56	31.85	29.77	27.78	25.33
10yr yield (eop, %)	33.51	33.21	32.64	30.66	28.98	26.46	25.54	24.37
USD/TRY exchange rate (eop)	44.42	46.64	49.17	52.00	54.81	57.58	60.31	63.00
EUR/TRY exchange rate (eop)	50.76	53.64	57.04	60.32	64.68	68.52	72.37	76.86

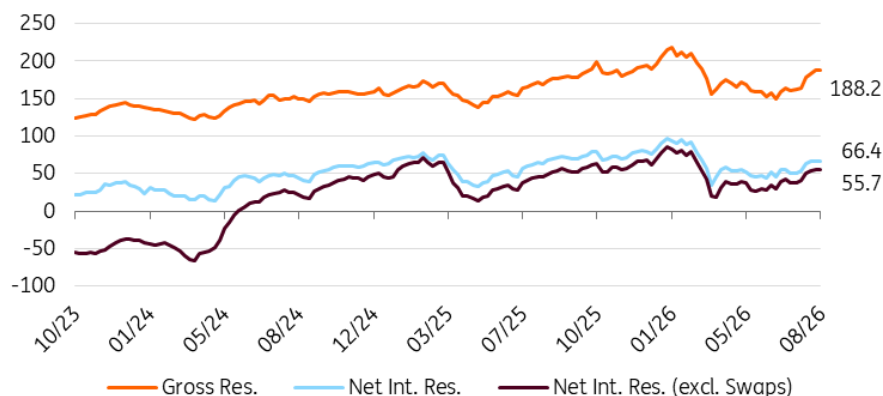
Source: Various sources, ING

FX and rates outlook

Following the normalisation of liquidity conditions, the decline in the effective funding rate from 40% to 37%, and the easing of upside inflation risks, market pricing has gradually turned more dovish and moved closer to our forecast for this year. The CBT rate is now priced at 34.50% for year-end. However, the market remains sceptical that the central bank can sustain easing next year, pricing in only around 100bp of cuts. We see scope for further repricing if disinflation continues in this part of the curve. Meanwhile, foreign inflows into TurkGBs remain limited, and the Ministry of Finance has completed about two-thirds of this year's issuance. A meaningful improvement in duration would probably require a significant de-escalation in the US-Iran conflict.

In FX, the outlook is broadly unchanged. As sentiment improves, the lira is typically the first market segment to attract returning investors. Long TRY positioning has already recovered to levels seen before the US-Iran conflict, despite the CBT's unexpectedly dovish stance in August and the prospect of an imminent restart of the easing cycle. Meanwhile, the continued recovery in central bank FX reserves should help sustain investor interest in the TRY carry trade. We forecast USD/TRY at 52 by year-end and 63 by the end of next year.

CBT reserves (US\$ bn)



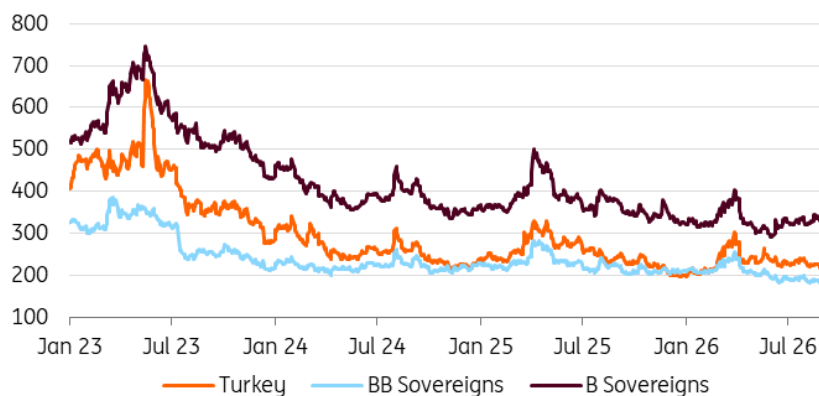
Source: CBT, ING

Sovereign credit views

Despite some decent global macro volatility, relative valuations for Turkey's dollar bonds have remained fairly steady – the pickup over the BB sovereign average has held at around 40bp, with five-year CDS spreads at near 220bp. While the latest Medium-Term Plan has seen a worsening in the outlook for inflation and the current account deficit, there were few surprises relative to market expectations and the normalisation in monetary policy points to some comfort over spillover effects from the Middle East.

In this context, the focus for investors will be on avoiding a more aggressive dovish shift in monetary policy expectations, while any easing in Middle East tensions and energy prices could offer a more positive catalyst. Valuations should remain relatively attractive for EM investors given the pickup over BB peers, along with stabilisation in the FX reserve picture and positive fiscal performance.

US\$ Bond Sub-Index Spreads vs USTs



Source: Refinitiv, ING

The Turkish government projects less ambitious disinflation in 2027

At the weekend, Vice President Cevdet Yılmaz, Finance Minister Mehmet Şimşek, and Central Bank Governor Fatih Karahan unveiled the Medium-Term Plan (MTP) for 2027-2029, setting out the government's macroeconomic forecasts and key policy and reform priorities. Vice President Yılmaz emphasised that the programme seeks to reinforce macroeconomic stability, expand high value-added production, improve productivity, and enhance competitiveness through price stability, fiscal discipline, and financial stability.

While reaffirming its commitment to disinflation, the government projects year-end inflation of 28.4% in 2026. This forecast is above the 16% projection in the previous plan, close to the central bank's 28% forecast, and slightly lower than the 29.4% expectation in the latest Market Participants Survey. During the presentation of the August Inflation Report release last month,

Governor Karahan had stated that the Bank maintained its 2027 forecast in light of geopolitical risks and ongoing MTP preparations that could affect the macroeconomic framework. Accordingly, the MTP substantially revised its 2027 inflation forecast upward to 21%, compared with 9% in the previous plan. The new projection is broadly in line with the 21.9% consensus in the Market Participants Survey.

In the meeting at the weekend, Karahan noted that the upward revision to the 2027 forecast was driven partly by the carry-over impact of higher-than-expected inflation this year on the following year's starting point, and partly by the global economic backdrop. According to CBT calculations, the impact of the US-Iran war and related global developments on 2026 inflation is estimated at around 7ppt. After eliminating war-related factors, inflation would be below 25%. With this estimate, the Governor implies that next year's figure is easily reachable.

The programme also lowered the 2026 GDP growth forecast by 0.5ppt to 3.3%. Growth is then expected to accelerate to 4.2% in 2027 (close to the previous plan forecast at 4.3%), reaching 5.0% by 2029. Official projections for 2026 and 2027 remain somewhat higher than the corresponding expectations in the Market Participants Survey. Additionally, relative to the previous plan, the MTP envisages a growth composition driven more by private consumption and less by private investment, while the public sector is expected to follow the opposite pattern.

On the fiscal side, the MTP projects a central government budget deficit of 3.1% of GDP in 2026 (down from 3.5% previously), rising to 3.5% in 2027 before gradually declining to 2.8% by 2029. Despite reconstruction and recovery spending in the earthquake-affected region having been largely completed this year, spending is expected to increase significantly, rising to 24.5% of GDP from 23%, mainly due to higher current transfers, reserve allocations, and interest payments. This increase is expected to be partially offset by stronger revenue collection, equivalent to around 1% of GDP. Policymakers also stressed that fiscal policy would support disinflation, implying reduced reliance on inflationary tools such as administered price increases.

On the external front, the government forecasts a current account deficit of 2.6% of GDP in 2026, followed by a gradual improvement in subsequent years. While the new projections are higher than those in the previous plan, the elevated and gradually increasing growth path outlined in the MTP raises questions about how achievable this external adjustment is.

Regarding exchange rate assumptions, the MTP's implicit USD/TRY projections are broadly consistent with market expectations for this year. For the following years, the programme assumes average annual increases largely in line with inflation forecasts, implying little or no change in the currency's real value.

The MTP for 2027-2029 vs the MTP for 2026-2028

	MEDIUM TERM PLAN (MTP)				PREVIOUS PROGRAM		
MACRO ASSUMPTIONS	2026E	2027F	2028F	2029F	2026F	2027F	2028F
GDP (TRY bn)	85,346	111,207	133,184	153,141	77,257	89,406	101,397
GDP (USD bn)	1,821	1,984	2,091	2,225	1,658	1,763	1,886
GDP growth (%)	3.3	4.2	4.6	5.0	3.8	4.3	5.0
Unemployment Rate (%)	8.1	8.0	7.8	7.6	8.4	8.2	7.8
Employment Rate (%)	48.6	49.2	49.8	50.6	49.8	50.5	51.6
Labor Force Participation Rate (%)	52.9	53.4	54.0	54.7	54.4	55.1	56.0
Inflation (%)	28.4	21.0	13.5	9.0	16.0	9.0	8.0
C/A Balance (USD bn)	-47.5	-38.5	-37.0	-35.5	-22.3	-20.5	-18.5
C/A Balance (% GDP)	-2.6	-1.9	-1.8	-1.6	-1.3	-1.2	-1.0
Foreign Trade Balance (USD bn)	-105.0	-105.0	-108.5	-110.0	-96.0	-99.0	-102.0
Exports (USD bn)	282.0	292.0	302.5	316.0	282.0	294.0	308.5
Exports / Imports (%)	72.9	73.6	73.6	74.2	74.6	74.8	75.2
USD/TRY (implied, avg)	46.9	56.1	63.7	68.8	21.5	24.6	25.8
FISCAL TARGETS % GDP							
Central Administration Balance	-3.1	-3.5	-3.1	-2.8	-3.5	-3.1	-2.8
Revenues	20.0	21.0	21.0	21.0	21.0	21.0	21.0
Expenditures	23.0	24.5	24.1	23.8	24.5	24.0	23.8
Central Administration Primary Balance	0.2	0.1	0.4	0.6	0.0	0.3	0.5
Public Sector General Balance	-2.7	-3.3	-3.1	-2.7	-3.1	-2.7	-2.6
Public Sector General Balance (IMF def.)	-0.2	-0.6	-0.3	0.2	-0.2	0.2	0.3
EU Defined Public Debt Stock	21.8	21.7	22.8	23.9	24.7	24.7	24.2

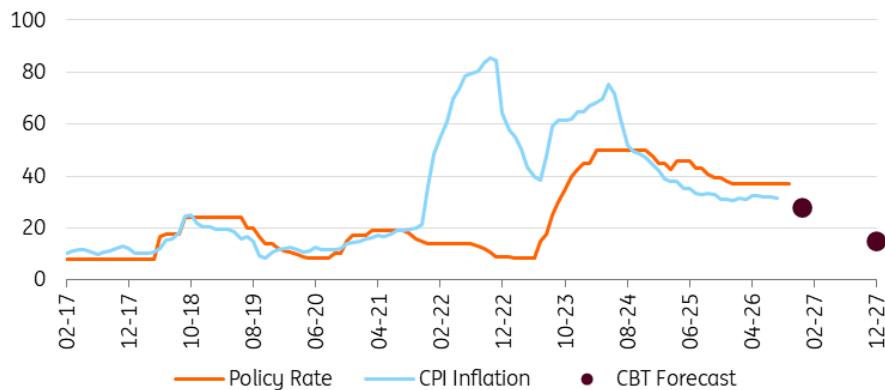
Source: Presidency of Strategy and Budget, ING

CPI inflation falls further in August

Monthly inflation in August came in at 1.84% vs the market consensus of 1.95%, while annual inflation maintained a downtrend with a slight decline to 31.5% (vs the CBT's target of 24% and forecast of 28% in the latest inflation report) from 31.8% a month ago. Despite energy and education pushing inflation higher, the positive surprise was attributable to the food group last month. Core inflation (CPI-C) rose by 1.8% month-on-month, slightly above the level recorded last year, leading to an increase in the annual rate to 30.1%. The managed currency by the central bank, with modest nominal TRY depreciation – by 1.6% in August on average and 16.9% year-on-year, significantly below inflation in the same period – limited the increase. This indicates that the CBT maintains its exchange rate policy, which continues to support the disinflation objective through the cost channel.

A breakdown of the data shows that the transportation group made the largest contribution to the headline (0.82ppt), driven by diesel prices in addition to the contribution from transportation services. This has occurred despite the newly introduced scheme that reduces special consumption tax (SCT) on diesel to TRY 0 per litre in the second half of August. The housing group followed, attributable to rent and energy-related items, with a monthly impact on the headline of 0.27ppt. The food group reading turned out relatively benign, with a mere 0.06ppt impact, thanks to a 2.0% MoM drop in unprocessed food prices vs a 2.0% increase last year and a slower increase in processed food. Accordingly, annual inflation fell to 33.8% (vs the CBT's assumption for this item at 28.5% for this year) from 37.5% a month ago.

Inflation expectations and CBT forecast (12m- ahead, YoY%)



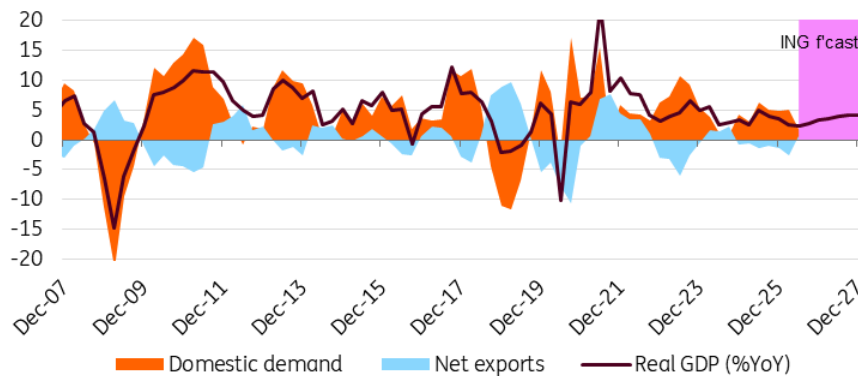
Source: CBT, Bloomberg, ING

2Q GDP growth restrained by softer domestic demand

In the second quarter of 2026, Turkey's GDP growth came in at 2.3% YoY, bringing growth in the first half of the year to 2.5% YoY. The latest figures point to a further moderation in economic activity compared with previous quarters. Despite a clear loss of momentum, domestic demand was the main driver of economic activity, while net exports turning positive also added to the headline rate.

On a seasonally adjusted basis, GDP expanded by 1.1% quarter-on-quarter in the second quarter, rebounding from the weak 0.3% growth recorded in the previous quarter. This recovery was driven mainly by net exports, which contributed 1.5ppt to the headline figure. Capital formation remained broadly unchanged after contracting in the first quarter of 2026, while inventory accumulation also made a positive contribution of 0.8ppt – although at a slower pace than in the previous quarter. By contrast, household consumption weakened further, reducing headline growth by 0.9ppt, while government consumption also turned negative and weighed on sequential growth performance during the quarter.

Real GDP (%YoY) and contributions (ppt)



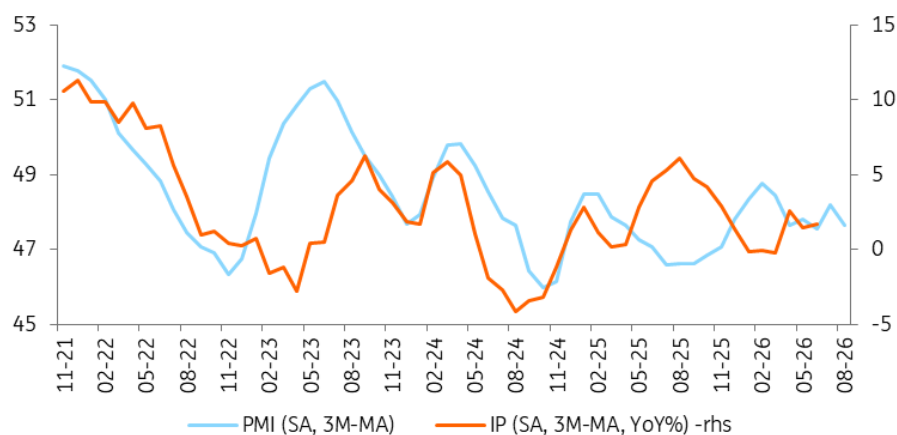
Source: TurkStat, ING

August PMI moved up further in contractionary territory

The manufacturing sector (seasonally adjusted basis) PMI moved slightly up in August to 48.1, the highest in the last three months. However, it has remained in contractionary territory. This has been the case for more than two years, confirming long-lasting challenges for manufacturers. In the breakdown, the rate of inflation in input prices moved up further with higher costs for fuel and oil, plus rising raw material prices, while selling prices were impacted by higher energy costs. Additionally, demand has remained soft with ongoing geopolitical risks, leading to weakness in total new orders and new export business.

Findings in sectoral PMIs, on the other hand, confirmed some fears surrounding the impact of war in the Middle East on economic activity; all 10 sectors are now positioned below the 50 level. Compared to a month ago, seven of these sectors recorded PMI declines on the back of higher inflationary pressures alongside weaker production and employment.

PMI & Industrial Production



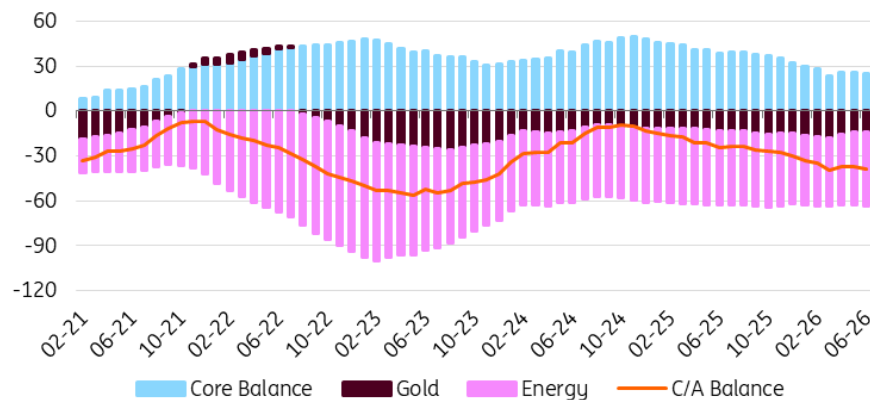
Source: ICI, TurkStat, ING

Large revisions to net errors & omissions

Following the pandemic, significant volatility has been observed in the Net Errors and Omissions (NEO) item of the balance of payments. Such fluctuations may be considered relatively normal over the short term. However, in 2021 and 2022, the NEO balance recorded exceptionally large positive inflows, while since 2023 it has posted a substantial cumulative negative balance of around US\$58bn. Three separate revisions were introduced to address this issue, with the adjustments relating largely to items recorded under the financial account. These included: a) a more accurate measurement of bank deposits held abroad by residents; b) improvements in the classification and recording of financial derivatives; and c) the decomposition of domestically driven foreign banknote movements from external transactions. As a result of these revisions, the cumulative negative balance in the NEO account declined significantly, falling to US\$23bn.

In the current account, standing at US\$4.2bn, the deficit was narrower than the consensus in June. Compared with the same period last year, the June data shows a wider goods deficit, a larger services surplus and a higher secondary income deficit. Accordingly, the 12-month rolling deficit reached US\$38.9bn, or approximately 2.5% of GDP, from US\$37.0bn a month ago. On the other hand, the capital account saw a relative improvement from the previous month, with net inflows of US\$5.2bn. With almost-flat net errors and omissions, and considering the current account deficit, official reserves recorded a US\$1.0bn increase in June.

Current account (12M rolling, US\$bn)



Source: CBT, ING

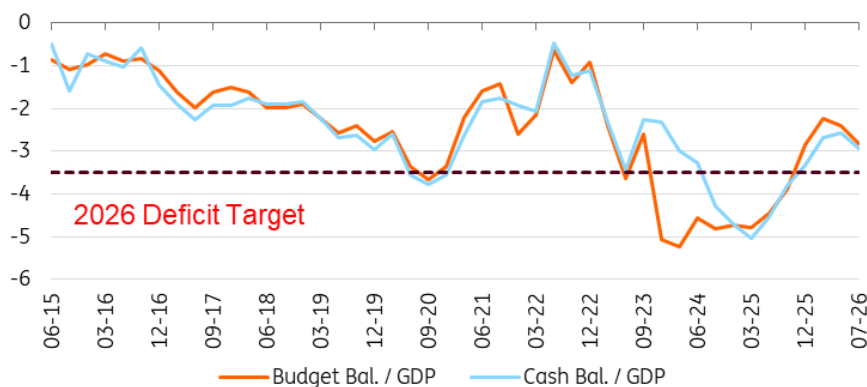
12M rolling budget deficit remains below the target

On the fiscal side, the Central Administration budget balance showed a relative deterioration in July, following the strength in June. This is attributable to a rapid expansion in spending, with a) interest expenditures more than doubling, translating into 84.3% real growth, likely due to uneven distribution of this item in the year, and b) a 12.7% real rise in primary spending contributed by all major sub-items except for capital expenditures. Accordingly, the 12-month

rolling accrual-based government budget deficit widened to 2.7% of GDP in July, from 2.4% in June. The primary surplus narrowed to 0.6% of GDP in July, from 0.9% in June. Interest expenditures increased to TRY326.8bn in July 2026 by a high TRY192.2bn over the same period. The 12-month rolling budget deficit remains below the government's target of 3.5% of GDP.

The Ministry of Finance revisited the scheme reduced that reducing the special consumption tax (SCT) on diesel to TRY 0 per litre in the second half of August. After August, it will be increased by TRY 3 per litre each month through the end of 2026, ultimately reaching TRY 13.90 per litre as of January 2027. The new system should alleviate some of the near-term pressure on diesel pump prices, while the fiscal drag from energy subsidies is expected to persist.

Budget performance



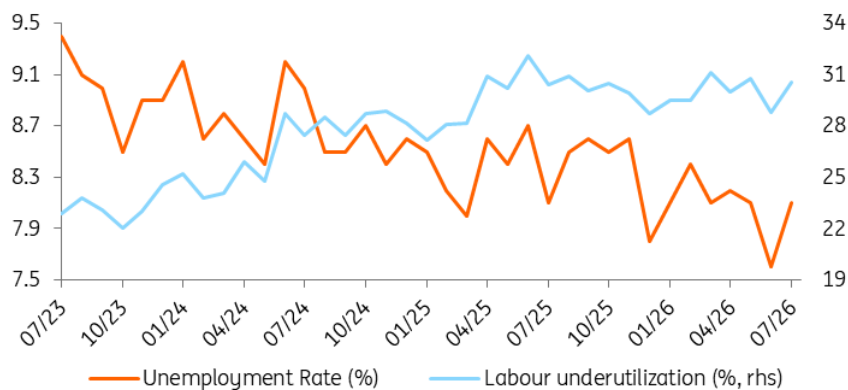
Source: Ministry of Treasury and Finance, ING

Unemployment rate rebounds from the lowest since 2005

According to the seasonally adjusted data, the number of unemployed people fell by 150K in July from the previous month, reaching 2.86m. The unemployment rate inched up by 0.5ppt on a monthly basis to 8.1%, rebounding from the lowest level in the data series published since 2005, at 7.6%. Meanwhile, the labour force participation rate stood at 52.5%, recording a drop vs June. The data showed that the rise in the headline unemployment rate was attributable to the drop in employment outpacing the fall in the labour force.

Broader measures of unemployment also pointed to a deterioration compared with the previous month. Among these, the inactive labour force rate – which comprises time-related underemployment, the potential labour force, and unemployed persons – jumped by 1.8ppt to 30.6% in June. Although this indicator typically exhibits a volatile pattern, it has been on an upward trend in recent years.

Labour market outlook



Source: TurkStat, ING

The CBT's 2026 inflation forecast at 28%

In comparison to the previous report, the bank has kept inflation targets flat at 24%, 15%, and 9% for this year and the next two years. On the other hand, the CBT hiked its forecast for 2026 to 28% from 26% earlier, now closer to that of market participants, standing at 29.4% in the latest survey. For next year and 2028, the forecasts are unchanged, and remain aligned with the targets.

The forecast hike for this year reflects a combination of changing assumptions related to several key drivers: a) a slight downward revision for external demand; b) a cut in oil prices (from US\$89.4 to US\$87.8); c) higher import prices on the back of diesel refinery margins, natural gas and commodity prices excluding energy; and d) an upward adjustment in food inflation to 28.5% from 26.3% due to recent data and the outlook for agricultural commodity prices.

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Article | 10 September 2026

FX

FX Daily: The hawkish bar is set high for the ECB

As the ECB delivers its well-telegraphed 25bp hike, we doubt it will signal enough commitment to further tightening to validate the market's aggressively hawkish pricing. That leaves EUR/USD exposed to downside risks, particularly as the dollar may find additional support after yesterday's smaller-than-expected Treasury buyback announcement



Treasury Secretary Scott Bessent announced that the US would buy back \$6bn worth of government debt – but market expectations were clearly of a higher figure

↑ **USD: Some Bessent risk premium leaving the dollar?**

Poor price action for the dollar persisted for most of yesterday. Then came the US Treasury announcement that it would buy back \$6bn in long-term bonds, triple the amount announced in August. The bond market's negative reaction signals that expectations were clearly of a higher figure – somewhere around \$10bn had been rumoured. However, that prompted a dollar rebound, as some risk premium linked to outsized Treasury intervention was unwound.

The currency market is unlikely to shelve the debasement narrative just yet. But yesterday's announcement could help create a better environment for the dollar, potentially allowing it to respond more efficiently to external drivers such as higher oil prices and weaker equities, both

USD positives.

Today, focus will be on US PPI inflation for August, which should have a higher-than-usual market impact ahead of tomorrow's CPI and next week's FOMC. Consensus is for 0.4% MoM headline PPI, and 0.3% for core. We feel these are figures that can – if anything – slightly reinforce market conviction on a September hike: pricing is currently 16bp.

We continue to see upside risks for the dollar. If front-end USD rates remain around current levels and global sentiment stays fragile, we cannot see a fundamental reason for persistent USD underperformance. Unless inflation delivers material downside surprises today or tomorrow, the conditions appear in place for DXY to return to 99.0.

Francesco Pesole

↓ **EUR: ECB can disappoint the hawks**

EUR/USD climbed to 1.650 yesterday before reversing after the US Treasury announcement. The initial rally was driven by a sizeable 7-8bp tightening in EUR/USD two-year swap differentials, entirely the result of an almost 10bp rise in the euro leg. That likely reflected spillover from another rise in energy prices and perhaps some positioning for a hawkish ECB message today.

On the latter, we aren't convinced. As discussed in our [ECB cheat sheet](#), there are some downside risks for the euro today. Markets now price 50bp of tightening by year-end and 85bp by July, leaving the ECB with a high bar to meet. While today's widely expected 25bp hike can still be framed as an insurance move, further hikes would push policy further into restrictive territory. We doubt the ECB is ready to semi-commit to another hike by year-end, as it did in July, for two main reasons: a) the inflation projections are unlikely to justify it; b) concerns may be building around the eurozone bond market.

To be clear, we don't think the ECB will be intentionally dovish. But retaining broad optionality on further tightening seems too little to satisfy markets' hawkish bets. We expect some repricing lower in the EUR curve to pave the way for a retest of 1.160 ahead of next week's FOMC (where we expect a hike). Our one-month target remains 1.150.

Francesco Pesole

↓ **CEE: Central banks leave room for weaker zloty and koruna**

As expected, the National Bank of Poland kept rates unchanged at 3.75% yesterday. The statement offered little new guidance, leaving attention on Governor Adam Glapinski's press conference today at 3pm local time. We expect a somewhat more hawkish tone than in July, reflecting higher inflation and a firmer outlook. However, with markets pricing in around 85bp of tightening, the bar for a hawkish surprise is high. We therefore see scope for some easing in

rate expectations and a rise in EUR/PLN, also supported by record gas prices, potentially taking the pair back above 4.320.

In the Czech Republic, the CNB blackout period begins today. Deputy Governor Eva Zamrazilova, one of the board's most hawkish members, said yesterday that she favours keeping rates unchanged at next week's September meeting, strongly signalling the likely outcome for the broader board. The CNB could still communicate today, but surprises appear unlikely. Despite the ongoing rates sell-off, the interest-rate differential has narrowed and, in line with our Monday call, EUR/CZK has moved back above 24.250. The pair is currently consistent with the rates move in our models, although a more dovish CNB decision than markets expect next week could push it higher.

Frantisek Taborsky

TRY: Rates on hold but cuts ahead

We expect the CBT to keep rates unchanged at 37% today. It is too early to resume easing after the bank restarted weekly repo auctions and brought the effective funding rate down from 40% to the policy rate. Still, weaker-than-expected 2Q GDP and a continued gradual decline in inflation should allow two 100bp cuts to 35% in Q4.

As liquidity conditions have normalised, market pricing has turned more dovish and moved closer to our year-end forecast. The CBT rate is now priced at 34.50% by year-end. However, markets remain sceptical about the scope for easing next year, pricing only around 100bp of cuts. Continued disinflation could drive further dovish repricing in this part of the curve.

The FX outlook is broadly unchanged. Long TRY positioning has already returned to pre-US-Iran conflict levels, despite the CBT's dovish August stance and the prospect of renewed easing. At the same time, the continued recovery in central bank FX reserves should support investor demand for the TRY carry trade. We forecast USD/TRY at 52 by year-end and 63 by the end of next year.

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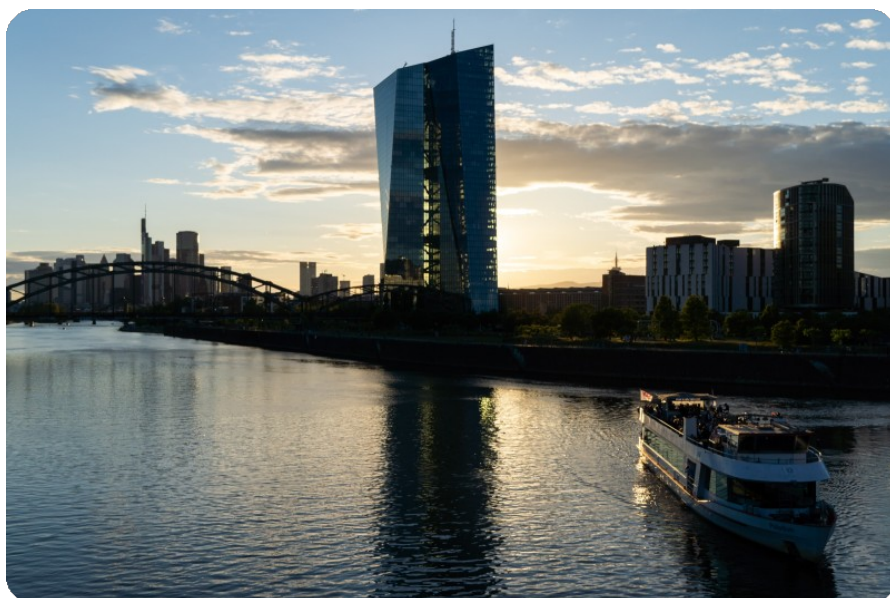
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Article | 10 September 2026

RATES SPARK

Rates Spark: Oil back above \$100

We think the ECB will hike rates, but the path thereafter remains open. Oil breaching \$100 and record gas prices year-to-date add to the complexity. With markets already pricing in a very hawkish outlook, we still think a dovish surprise from the ECB is more likely. Nervousness about fiscal trajectories in the eurozone also supports a dovish ECB bias



The ECB is widely expected to raise its policy rate today by 25bp to 2.50%

The \$100 threshold has been passed and markets are quick to price in more hawkish central banks

The European Central Bank is widely expected to raise its policy rates today by 25bp, which would take the deposit facility rate to 2.5%. This is a level which is widely regarded as marking the upper end of what is considered the neutral policy rate range.

Markets are not only fully discounting today's move already, they are also eyeing further tightening beyond September of more than 50bp, taking the deposit facility rate to at least 3%. This comes, of course, on the back of oil prices topping US\$100/bl and also gas prices marching higher amid geopolitical tensions flaring up again. Markets are still following a similar playbook whereby every move in oil is immediately captured by a predictable move in the 2Y rate. But with gas prices now higher than before, we could imagine markets starting to pay more attention to developments in gas too.

It also highlights the challenge for the ECB. Not only will the ECB's new forecasts already be based on outdated market snapshots, but it also makes any guidance around a future path difficult. The default in such an uncertain environment is to stick to meeting-by-meeting guidance.

Given that the market is already priced very aggressively, we struggle to see how the ECB could push markets even further in that direction. While risks of second-round inflation effects are rising with the duration of the conflict, by the ECB's own account, those effects have not been observed yet. And if anything, markets' aggressive stance and rising market rates also in the longer tenors are helping to tighten financial conditions.

Geopolitical tensions are pushing eurozone government bond spreads wider, while growing market concerns about debt sustainability could also stop the ECB from sounding too hawkish. As France has moved into focus, given the added layer of political uncertainty, we now see that 10y OAT swap spreads have become more closely correlated and sensitive to oil prices than Italian bonds. The latter had long proven to be the most exposed to geopolitical risk, not least given a larger reliance on energy imports from the crisis region in the beginning.

US Treasury buyback announcements garner a strange reaction

There's been a strange reaction to the tripling in the buyback amounts announced by the US Treasury. Long-end yields rose. Yet it was more than a doubling; it was a tripling. Of course, we won't know what they actually do until they do it, but they intend to do \$6bn, up from \$2bn per event. Based on that alone, the gap higher in long-end yields does not make much sense, unless the market had been expecting a quadrupling or more and/or a much bigger statement. We are not sure that was necessarily the case.

What is even stranger is the minimal reaction in swap spreads. They widened by a smidgen. But if the market was genuinely disappointed with the buyback size, they should have widened by much more, i.e. Treasury yields should have risen by more than SOFR rates. In that sense, it's a really unusual reaction, where long end SOFR rates are up, swap spreads unchanged, and long-end Treasury yields are up too. SOFR rates, it seems, have been pulled up by Treasury yields, but for no good reason.

My main contention is that the best Bessent can do is richen long tenor Treasury yields versus long tenor SOFR rates, in other words, to tighten long-end swap spreads. Since the original buyback announcement, this has been successful, in the sense that the 30yr swap spread is tighter by some 8bp since the buyback announcement. Bessent can't control long-end SOFR, as the 10yr SOFR rate, for example, is nothing more than a rate that breaks even against the expected profile for floating SOFR into the future. That's tough to affect through just buybacks! And certainly not in the relatively small size being deployed so far.

It's early days, and we'll see where this goes. But in a sense, markets may be telegraphing to

Bessent that it will be tough for him to have meaningful control over long-end rates.

Thursday's events and market view

The ECB interest rate decision and press conference will be the key event of the day. In data, the focus is shifting towards the US already ahead of Friday's likely policy-defining CPI release. With an eye on inflationary pressures, Thursday will see the publication of the August PPI, where a 0.4% month-on-month increase is expected. We will also get the US weekly jobless claims numbers.

Primary markets will see Italy auctioning 3y, 7y and 45y bonds for up to €7.75bn. The UK auctions new 4y gilts (£5bn). Over in the US, the Treasury will sell US\$22bn in 30y bonds and buy back US\$6bn in 10-20y bonds.

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Article | 10 September 2026

COMMODITIES DAILY

The Commodities Feed: Brent breaks above \$100/bbl amid US-Iran escalation

Oil prices continued to climb, with Brent breaking above \$100/bbl, as prospects for de-escalation between the US and Iran remained elusive, raising concerns over the security of energy flows



Energy - Iraq pushing for higher output quota

ICE Brent pushed through \$100/bbl yesterday for the first time since July, and that momentum has carried into early morning trading today. The move reflects a market still pricing in persistent geopolitical risk, with Persian Gulf tensions showing no credible path to de-escalation. If anything, current signals point to further escalation, keeping upside pressure firmly in place.

Iran said it is ready to intensify the war, while President Trump said that the war is likely to continue until just after the midterm elections in early November. The risk is that escalation starts leading to meaningful disruptions to Strait of Hormuz flows. Oil flows have surprised to the upside in recent weeks, but the market could tighten more sharply if ongoing escalation translates into disrupted oil flows once again.

Adding to the bullish sentiment is China's increased activity in the physical market, particularly in the North Sea, where Dated Brent has seen more strength. China, through much of the war,

has helped to rebalance the market through lower crude oil imports. While imports remain well below year-ago levels, they've started to recover from the lows seen in June; recent physical-market activity suggests this could continue. Crucial to the outlook — and to how much momentum this latest move can sustain — is Chinese buying behaviour. It will largely determine whether this rally has follow-through or fades.

Beyond Persian Gulf disruptions, OPEC+ members risk growing disagreement. Reports suggest Iraq is pushing for a significant increase in its output quota, hoping to use 6m b/d as its baseline for calculating quota levels. This is well above the 4.9m b/d that the IEA estimates as Iraq's sustainable production capacity. Given the difficult period Persian Gulf OPEC+ members have gone through this year, it will likely be difficult to persuade some producers to rein in production through 2027 if needed.

Overnight API data shows US crude oil inventories fell 300k barrels over the last week. Refined products saw gasoline stocks fall by 1.9m barrels, while distillate inventories grew by 2m barrels. The more widely followed EIA inventory report will be released later today. There's likely to be plenty of focus on distillate inventory changes, given the tightness in global diesel markets.

European natural gas prices moved higher yesterday, with TTF briefly breaking above EUR80/MWh and trading at its highest level since early 2023. A widening JKM-TTF spread provided some support. There were also reports that Ukrainian drones hit gas processing plants in Russia's Yamal region. EU gas storage stands at around 67% full, well below the 5-year average of 84%. This leaves the market vulnerable as we head closer towards the upcoming heating season.

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Article | 9 September 2026

FX

FX Daily: Dollar price action quite poor

Despite higher energy prices and firm short-dated US interest rates, the dollar remains soft. Wild swings in USD/JPY remain the main event, but the benign, low-volatility investment environment is another key factor encouraging flows out of the dollar. The calendar is quiet today and the focus will probably return to US Treasuries ahead of auctions



➔ USD: Dollar should be doing better

Dollar price action this week has been a little disappointing/confusing. Higher energy prices due to an escalation in the Gulf will direct more trade flows towards the US at the expense of Europe and Asia. At the same time, US short-dated rates remain relatively elevated as they await Friday's US August CPI release – what should be the final piece of the puzzle for the Fed's policy decision next week. We are expecting a 25bp Fed rate hike.

The fact that the dollar is not stronger may be attributable to both the investment environment and to developments in USD/JPY. On the former, global equity markets remain near their peaks as the AI investment boom keeps global growth relatively resilient. As mentioned earlier this week, one of the tightest FX correlations out there is the negative one between equities and the dollar. A very fragile USD/JPY is probably also contributing to the dollar malaise, as global macro hedge funds position for a downside break of 150 over the coming months on expectations that Japanese policymakers will deliver on their side of some

grand bargain with Washington.

There is also the question of whether buy-side investors are quietly raising their dollar hedge ratios. Certainly, the most recent data we have seen this summer suggest the European buy-side has been running relatively low FX hedge ratios on US assets – a position which could be challenged in investment committee meetings as they consider more activist US Treasury policy. On that front, the bond market will be in focus today as the US Treasury starts its buy-back operation of longer-dated Treasuries, plus auctions \$39bn and \$22bn of 10 and 30-year bonds today and tomorrow, respectively.

We don't fully understand why the dollar is not reacting to higher energy prices and do not see a strong case for DXY to immediately break support at 98.55/65. If it were to break, we suspect USD/JPY would be the driver, and a quick drop in DXY to 98.00 could be seen.

Chris Turner

➔ **EUR: Mid range**

Near 1.1600, EUR/USD is sitting approximately in the middle of its range seen since April. As above, we would have thought that the clear decline in the euro's terms of trade would be an important factor weighing on EUR/USD this week. The fact that it is holding up quite well probably raises more questions for the dollar.

Our team published their [ECB cheat sheet](#) yesterday. Unlike the market, we are looking for a dovish hike – or at least a hike which does not support the additional 50bp of tightening priced in after Thursday's expected 25bp move.

The eurozone calendar is very quiet today. We do not quite see a justification for EUR/USD to break above resistance at 1.1640/45, but if so, 1.1675/80 beckons. At present, we prefer a [1.15 end-September target](#) on the back of a Fed hike.

Chris Turner

⬇ **PLN: Hawkish pricing leaves room for correction**

We expect [the Polish central bank to keep rates unchanged](#) at 3.75% today, as renewed tensions in the Middle East and higher oil prices leave little scope for easing. National Bank of Poland Governor Adam Glapiński sounded dovish in July and was open to post-summer rate cuts. However, subsequent developments suggest his inflation outlook was too optimistic, with inflation likely to rebound towards the upper end of the tolerance band later this year.

The Polish market shifted hawkish in August alongside global markets and now prices around 80bp of tightening, similar to the Czech Republic. However, the Czech National Bank remains notably more hawkish than the NBP. Unless the NBP surprises today or tomorrow, some

repricing is likely. Oil and gas prices will continue to support hawkish bets, but a partial dovish correction could lift EUR/PLN back above 4.330 soon.

Frantisek Taborsky

BRL: Narrowing polls help the real

USD/BRL is drifting towards the lower end of its two-month range at 5.05/5.07, helped by the latest opinion polls for October's presidential election. For the first time yesterday, a poll put challenger Flavio Bolsonaro ahead of President Lula in a second-round run-off. Polymarket still shows President Lula's chances of winning as some 7% ahead of Bolsonaro, but the gap is closing fast. Those overweight the Brazilian real will be hoping for some kind of Colombian peso-style advance should Bolsonaro be successful and bring in some fiscal consolidation and deregulation.

Clearly, the benign global investment environment is also helping the real, which is backed by one of the highest real interest rates in the world. At the very least, we look for the real to continue outperforming the steep forward curve, if not deliver nominal appreciation should the polls shift even further to Bolsonaro.

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Article | 9 September 2026

RATES

Rates Spark: Sterling's hawkish pricing still looks overdone

UK rates look too hawkish relative to Bank of England guidance and macro fundamentals. But oil sensitivity and fiscal uncertainty are sustaining a sizeable risk premium, complicating the near-term expression of our structurally bullish view



Bank of England Governor Andrew Bailey has pushed back against the idea of multiple hikes as priced in by the GBP curve

Oil price uncertainty and fiscal risks complicate an otherwise bullish structural outlook for UK rates

Sterling rates continue to reflect a very hawkish narrative and seem overdone relative to central bank communications and macro fundamentals. In parliament on Tuesday, Bank of England Governor Andrew Bailey pushed back against the idea of multiple hikes as priced in by the GBP curve. And this is not the first time the Bank of England has struck a much more dovish tone than markets' positioning. The question is whether markets are genuinely expecting almost three hikes over the next year or whether we are dealing with some form of risk premium. We think the latter.

Sterling rates show high sensitivity to oil prices, which means any bet on GBP rates is also a bet on Trump's next move. Since the start of the conflict in the Middle East, every \$10 increase in

Brent added around 15bp to 2Y rates, more than the 11bp for EUR and 8bp for USD rates.

In addition, the new Labour government adds budget-related risks. We don't expect a material fiscal expansion, but we cannot fully dismiss the probability either. More government spending would delay Bank of England cuts, and according to markets, even add more hikes.

So whilst we take a structurally bullish view on sterling rates, trading this view in the near term remains a challenge. We also believe many market players face the same issue, explaining why sterling rates seem to bear a significant risk premium. Only once the predictability of oil prices improves do we see scope for tactical opportunities. But with oil likely to test \$100 again, we stay on the sidelines.

Wednesday's events and market view

There is not much data on Wednesday, in theory leaving the markets to be mostly dictated by geopolitical headlines and energy prices.

On long-end US yields, the Treasury's announcement of the 10-20y buyback operations will receive more attention. Recall, in a surprise move in August, the Treasury had announced to at least double its long-end buyback operations – a size announcement of US\$4bn would thus mark the bare minimum. Note also that the announcement comes just two hours ahead of the Treasury's 10y note auction.

In Europe, Germany will sell €5.5bn in 10y Bunds and Portugal will tap 3y, 8y and 9y bonds for up to €1.75bn in total.

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September 2026

European savings: why they matter, how they're changing and what more can be done





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European savings: why they matter, how they're changing and what more can be done

How Europeans save matters not only for their own finances but also for the broader economy. More investment means more household wealth and more capital to support growth. Our analysis shows substantial untapped potential: 30% of Europeans with savings say they'd consider investing. The shift is already underway and policymakers can help to speed it up

Europeans are often perceived as super-savers. But this has only become true in recent years. Our analysis shows that household financial savings (the share of income set aside for financial assets or reducing debt) stand at around 6% of income, roughly two percentage points more than before the pandemic. That shift has real economic consequences. Had households saved less, demand for goods and services across Europe could have been significantly stronger.

Americans, who have benefited strongly from positive wealth effects, have reduced their financial savings relative to historical norms, which has supported demand for US goods and services. While this doesn't fully explain the recent growth gap between the US and Europe, positive household wealth effects have clearly been an important source of demand in the US economy.

The bigger issue, however, is not how much Europeans are saving but how they are putting their savings to work. European households have missed out on significant investment returns over the past two decades. We calculated how much additional wealth could have been generated if households had allocated just a quarter of the money placed in deposits to investments instead. To do so, we compared the actual returns Europeans made on investment funds, listed equities and deposits between 2002 and 2025.

Our estimates suggest that household wealth could have been €1.17 trillion higher, equivalent to 7% of eurozone GDP, over the period if just a quarter of deposit inflows had been directed to investment funds, and as much as €2.79tr higher, or about 18% of GDP, if the money had been invested in listed equities instead.

And there's more. Household savings also matter for what economists call the 'supply side'. In Europe, people put their money in the bank. Banks, in turn, use those deposits to finance businesses, but must do so in a way that ensures they can repay their depositors. This model works well for lower-risk activities but is less suited to financing high-risk, high-growth business models.

An ample supply of risk-bearing capital is especially important for high-growth sectors, such as technology, which have the potential to boost economic growth in Europe. European households stand in stark contrast to their US counterparts, where liquid investments in overall balance sheets are five times as much as deposits, while in Europe investments amount to about half as much. This is one of the drivers behind Europe's slower productivity growth.

So it comes as no surprise that European policymakers are actively seeking to encourage households to invest more.

Given this ambition, we explored why Europeans remain hesitant to invest. In our new survey, respondents mostly cite risk aversion and a lack of knowledge as the main

barriers. Many (42%) see the market as a "casino" – a place where outcomes are random and the house always wins. For 35%, a lack of knowledge is a key reason not to invest.

It is tempting to see Europeans as culturally more risk-averse than elsewhere based on these survey outcomes. Yet we see that as an overly simplified view.

Firstly, we must acknowledge that 20% of Europeans don't even have savings to invest in the first place. That's also related to the pay-as-you-go pension systems and social security, which reduce disposable income.

Secondly, experience shows that Europeans do invest when the right incentives are in place. Automatic enrolment and generous tax incentives have successfully turned millions into investors. Dutch and Danish pension systems are proof of that. Meanwhile, Swedish households have significantly altered their investment behaviour as incentives have changed.

In terms of attitudes, we find there is considerable upside potential among those who do have savings: 50% say they are investing and 30% would consider doing so. Among European depositors, investing is very much an option. The attitudes of younger generations are remarkably different from older generations. A significant share has already started to invest, and a much larger share would consider doing so in the future. Only one in five Europeans below 34 would never see it as an option.

The European preference to reduce risk and the limited amount of financial expertise can be tackled together. Retail investors need only to understand a few key principles: invest for the long term, diversify broadly, and keep costs low by avoiding frequent trading. This makes investing simpler and financially more rewarding.

In addition, European countries can change their national institutions to encourage more people to invest. Germany is leading the way here, with significant changes coming in 2027.

And while Europe has been busy making plans, behaviour has already begun to change. An increasing share of financial savings, 37% since 2025 (versus 24% over 2015-2024) is going into investment funds (which includes ETFs). Since 2025, Europeans have put more of their financial savings into stocks, bonds and funds than they added to deposits. Helped by valuation effects, the share of investments in liquid assets in their balance sheets has been going up, while deposits have fallen to 62% from 67% in 2019.

Europe has set itself an ambition: to turn European deposits into investments. The encouraging news is that there is a policy toolkit, an interested pool of potential investors, and recent market trends already point in the desired direction. The transition is already underway.

Europe's super-savers: Myth, measurement or new reality?

European households are known for their high savings ratios and prudent consumption habits. The gap with the US is often portrayed as large and persistent, but that is misleading. Europeans have only recently pulled ahead in financial savings



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Headline figures of savings ratios mask methodological differences

Europeans are often described as habitual super-savers. The headline figures appear to confirm this: in 2025, eurozone households saved 14.7% of their disposable income, compared with 4.6% in the United States. But how much households appear to save depends on what is counted as saving.

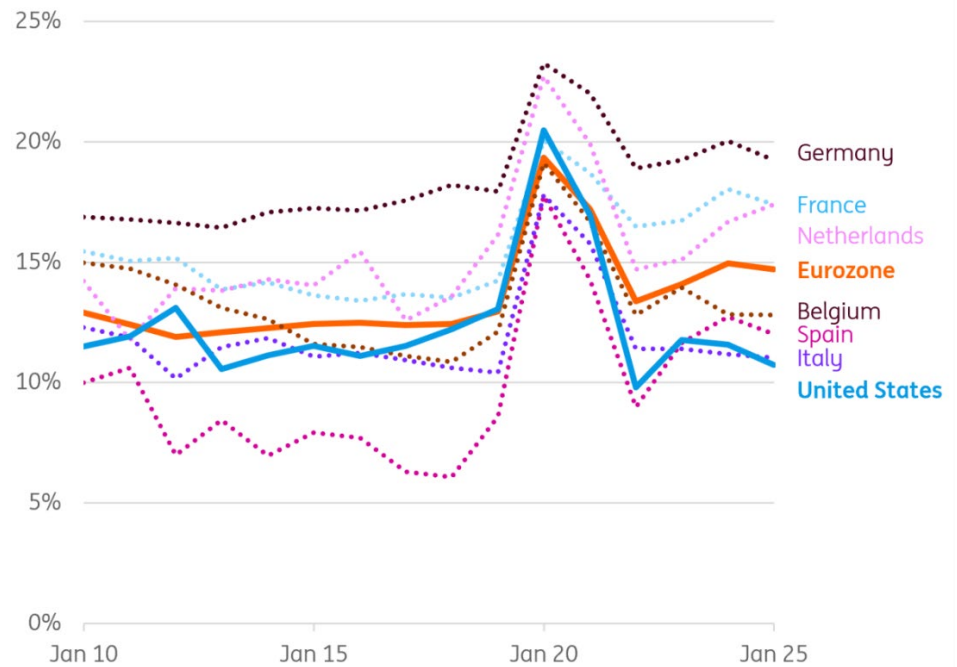
The European figure is a gross measure of the household saving rate. It includes all income that households do not consume, whether they use it to acquire financial assets, repay debt, or invest in housing and other fixed assets. The widely reported US figure is narrower: it largely reflects the money households have left to build financial wealth after fixed investment has been deducted. Comparing these two headline rates therefore overstates how much more Europeans save.

To make a fairer comparison, we use the harmonised OECD-Eurostat gross saving rate, which applies a more consistent definition to Europe and the US. On this basis, the comparable 2025 rates were 14.7% in the euro area and 10.7% in the US. The transatlantic gap therefore falls to around four percentage points, rather than the approximately 10-point gap suggested by the headline figures.

Differences within Europe nevertheless remain substantial. In 2025, harmonised gross saving rates reached 19.2% in Germany and 17.4% in France, compared with 12.0% in Spain and 11.0% in Italy. National pension systems, taxation and the balance between public and private spending all influence measured saving rates, but adjusting for these differences does not fundamentally change the ranking. According to a recent paper by Banque de France, Germany and France remain relatively high-saving countries.

Comparable figures show a much smaller European savings lead

Gross savings ratios, households (& NPISHs), %



Note: Yearly data are quarterly averages. Gross household savings rate is the percentage of disposable income (adjusted for pensions) that is not spent on final goods and services. The adjustment for pensions means that savings and disposable income include compulsory savings accumulated in workplace pension schemes, but which are not directly visible in cash flows.

Source: Eurostat, OECD (US gross savings rate)

Households' savings go predominantly to housing

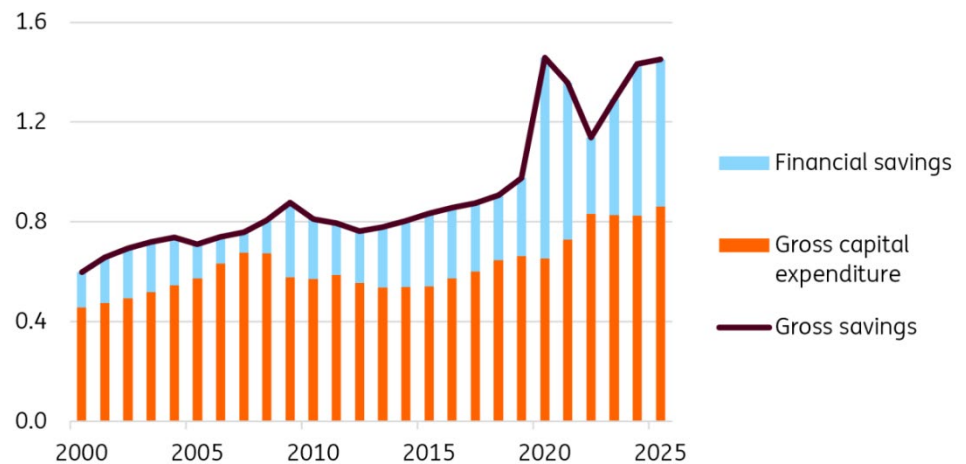
Even the harmonised gross saving rate does not tell us how much households are adding to their financial wealth. Gross savings have two main destinations. They can finance housing and other fixed assets, or they can be used to acquire financial assets and reduce debt.

In 2025, almost 60% of eurozone household gross savings, around €860 billion, went into housing and other fixed-capital expenditures. Approximately €590 billion, or 40%, was available for acquiring financial assets or reducing liabilities.

Housing therefore continues to absorb the larger share of household savings. But the balance has shifted. Fifteen years ago, financial savings represented only around 30% of total gross savings, compared with about 40% today. Financial wealth accumulation is therefore taking a larger share of the European savings pot than it once did.

A higher share of household gross savings is now flowing into financial wealth

Allocation of gross savings, household (& NPISHs), flows, eurozone, €tn



Note: This gross savings should be interpreted as a flow; we do not refer to the distribution of financial assets, but rather about how annual savings flows are distributed

Source: Eurostat, ING calculations

Europeans have only recently become bigger financial savers

This brings us to the measure that matters most for understanding how households build financial wealth: the financial saving rate. This is the share of disposable income left for acquiring financial assets or reducing liabilities after spending on housing and other fixed assets.

On this measure, the familiar image of Europeans as perennial super-savers becomes much harder to sustain. Between 2010 and 2021, the eurozone financial saving rate was, on average, lower than the US rate. Despite their reputation for caution, eurozone households allocated a smaller share of their income to building financial wealth.

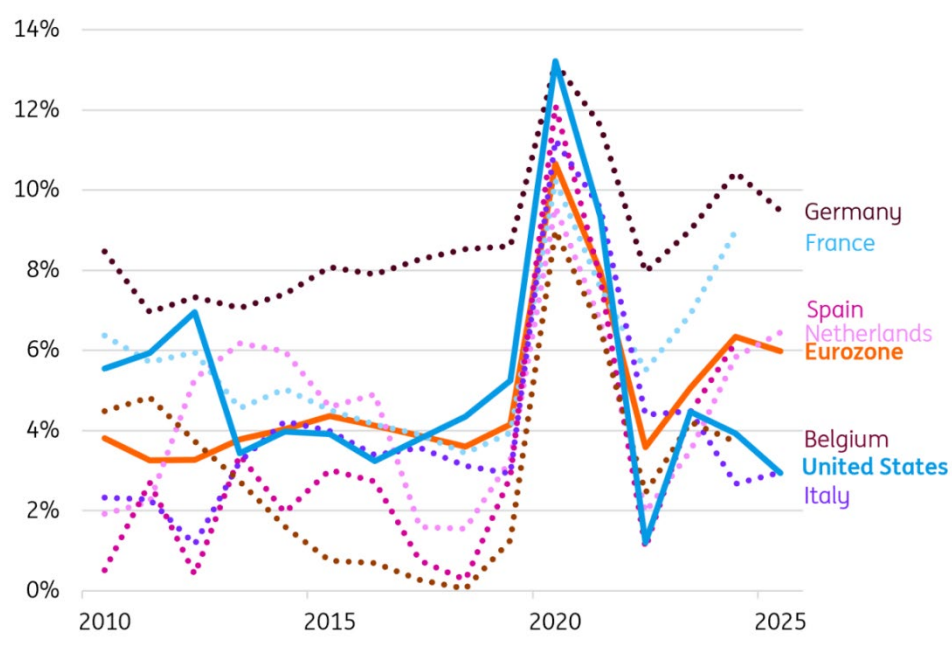
The position has reversed only recently. Eurozone financial savings have remained above the pre-pandemic norm, while the US rate has fallen substantially. In 2025, the eurozone rate stood at around 6%, roughly twice the US rate. Europeans are therefore the bigger financial savers today, but this is a new reality, not an old habit.

Part of the explanation may lie in the stronger wealth effect enjoyed by US households. Americans hold more market-based assets and have therefore benefited more from rising financial-market valuations. When the value of household portfolios rises, households can feel wealthier and support consumption without having to save as much from current income.

The eurozone aggregate also conceals sizeable national differences. France and Germany continue to record comparatively high financial saving rates, whereas households in Italy, Spain and Belgium generally save less in financial form.

Looking at household financial savings ratios reduces the gap between eurozone and the US

Financial savings ratios, household (& NPISHs), % disposable income



Note: Financial savings ratio is calculated from the national accounts as 'Net lending or borrowing as a share of disposable income'. Net lending or borrowing is gross savings minus fixed capital investment and capital transfers such as capital taxes, investment grants, etc. This is therefore the share of disposable income that is left over for financial assets or liability accumulation. For the US, net lending is taken from the national accounts and not the financial account, as the difference between them can be significant as they use different data sources for compilation.

Source: Eurostat, Fed, BEA, ING calculations

Behind the savings rate: how many households actually save?

National accounts tell us how much the household sector saves in aggregate. They do not tell us how widely the capacity to save is shared. Our ING Consumer Survey provides a complementary perspective. Across the countries covered in the eurozone, 75% of respondents say that their household has some savings. But the proportion varies considerably, from 88% in the Netherlands to 68% in Germany.

This produces a revealing contrast. Germany combines one of the highest aggregate saving rates with the lowest reported incidence of household saving among the eurozone countries surveyed. Aggregate savings and the share of households that is able to save are therefore two different dimensions of household financial health.

Countries differ in how many households are able to save

Share of respondents answering yes to: Does your household have any savings?



Note: Eurozone refers to the weighted average of the six representative countries

Source: ING Consumer Survey

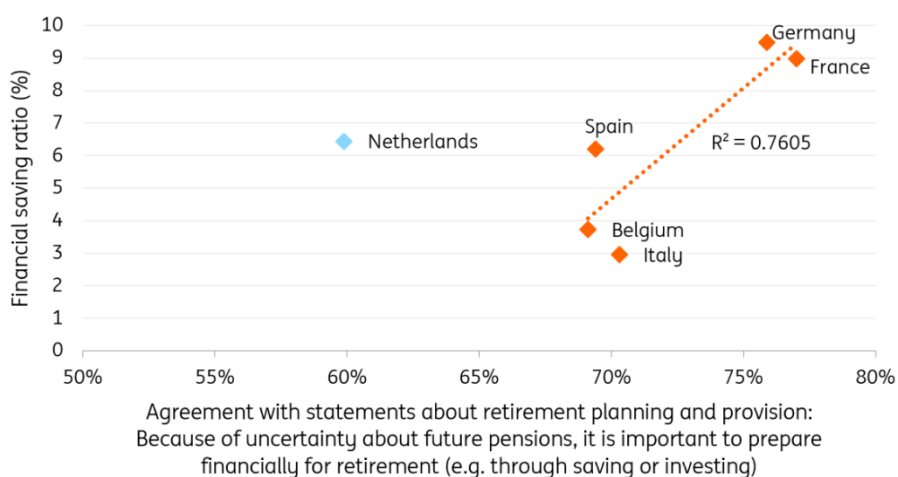
Pension anxiety may be one reason Europeans save

Saving is not only about today's income. It also reflects what households expect from tomorrow. Linking our survey to official data reveals a clear pattern: in countries with the 'pay-as-you-go' (PAYG) pension system, financial saving rates tend to be higher where more people believe that uncertainty about future pensions makes it important to prepare for retirement through saving or investing. Germany and France rank relatively high on both measures, while Italy and Belgium rank lower. The Netherlands serves as an outlier here because of its robust pension system outside the PAYG (or Pillar 1).

Pension-related concerns may therefore help explain why households save a larger share of their income and accumulate more financial assets. This behaviour is consistent with the Ricardian motive, whereby households increase saving in anticipation of future taxes or lower public benefits. Recent evidence from [the European Central Bank's Consumer Expectations Survey](#) suggests that this mechanism has become an important driver of household saving. In that sense, part of Europe's recent rise in financial saving may reflect not so much deferred consumption as preparation for a more uncertain retirement. Concern about future pensions may therefore be one reason why households retain more of their income and accumulate financial assets.

Pension worries might feed into higher financial saving

Financial savings ratios (2024/2025) and uncertainty over future pensions



Source: ING Consumer Survey, Eurostat, ING calculations

Europe's savings offer more than one opportunity

Europe's higher financial saving creates scope for stronger consumption if uncertainty recedes. If part of these savings is invested, higher household wealth could also support consumption over time through a wealth effect. And when that investment finances European businesses and productive projects, it can provide an additional boost to the real economy.

The hidden cost of Europe's preference for deposits

A common perception of European savers is that they are highly risk averse, keeping most of their savings in deposit accounts. But is that really the case? To answer that question, we need to dig deeper and examine households' financial wealth accounts



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Europeans are beginning to invest more

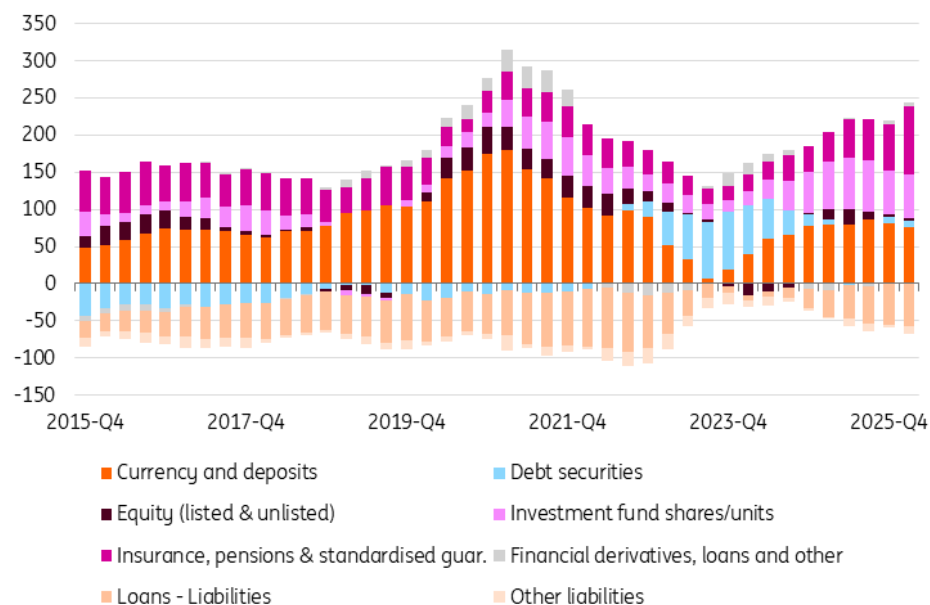
Traditionally, European households have allocated most of their financial savings to deposits and cash holdings, as seen in the graph below. Over 2015-2024, the quarterly flows show that households in the eurozone allocated, on average, almost three times as much of their financial savings to deposits as to investment funds (including ETFs), and seven times as much to deposits as to shares (to enhance readability, one-year moving averages are used).

Since early 2025, a new trend has emerged. Europeans now allocate as much of their savings to investment funds and ETFs as to deposits. In fact, if we look at financial investments in the broad sense (stocks, bonds, funds, etc.), Europeans now spend more money on them on average each quarter than they put into savings accounts.

This marks a striking break with the previous decade, when deposits attracted around 2.5 times as much money as market-based investments. Direct purchases of listed shares have continued to decline, suggesting that the shift is taking place primarily through investment funds rather than individual stock selection.

European savings are starting to move beyond deposits

Eurozone quarterly financial transactions, households (& NPISHs), 1Y moving average, €bn



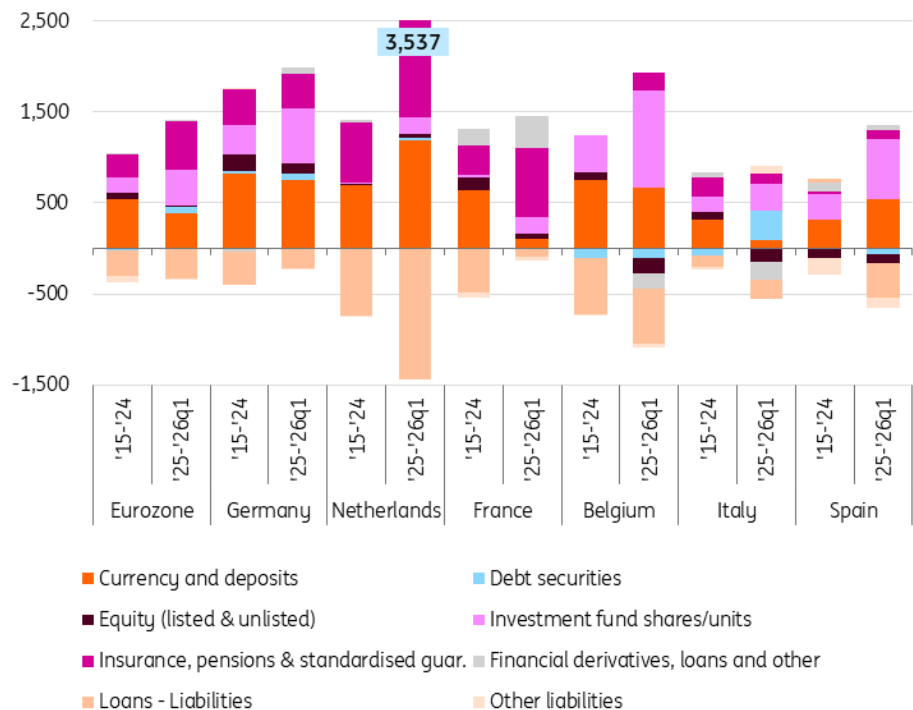
Note: Last datapoint is 2026Q1

Source: Eurostat, ING calculations

The shift is not occurring at the same pace everywhere. In Spain and Belgium, households now direct considerably more of their financial savings towards investment funds than towards deposits. Investment fund flows have also increased substantially in Germany, although German households still place more money into deposits overall. Funds have overtaken deposits in Italy too, but by a smaller margin. French households remain among the least inclined to direct new savings towards investment funds, but have significantly increased their contributions to insurance, pensions and standardised guarantees, which we touch upon in the next chapter.

Investment funds are gaining ground, but not everywhere

Average transactions over period, per household, €



Note: Per household numbers are obtained by dividing the average transactions over the period by the average number of households over the same period. What looks like a spike in pension transactions in the Netherlands for the period 2025-26q1 reflects accounting adjustments in the first quarter of 2026 due to pension reforms from defined benefits to defined contributions

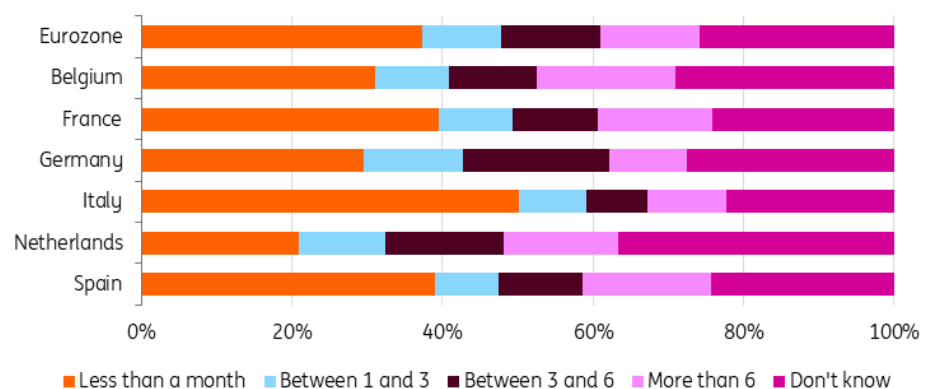
Source: Eurostat, ING calculations

Europeans are cautious, but not opposed to investing

Many households appear unsure of when saving should give way to investing. According to our survey, while 37% of Europeans consider less than one month of income an adequate cash buffer, 26% want more than three months and another 26% do not know how much is enough. For many Europeans, the obstacle is not choosing an investment but deciding when they can afford to start.

Households remain unclear on how much savings is needed before they can begin investing

Respondents answer to: *How much do you think a household should approximately keep in liquid solutions, easily accessible such as savings or current accounts, before putting any money into investments?*



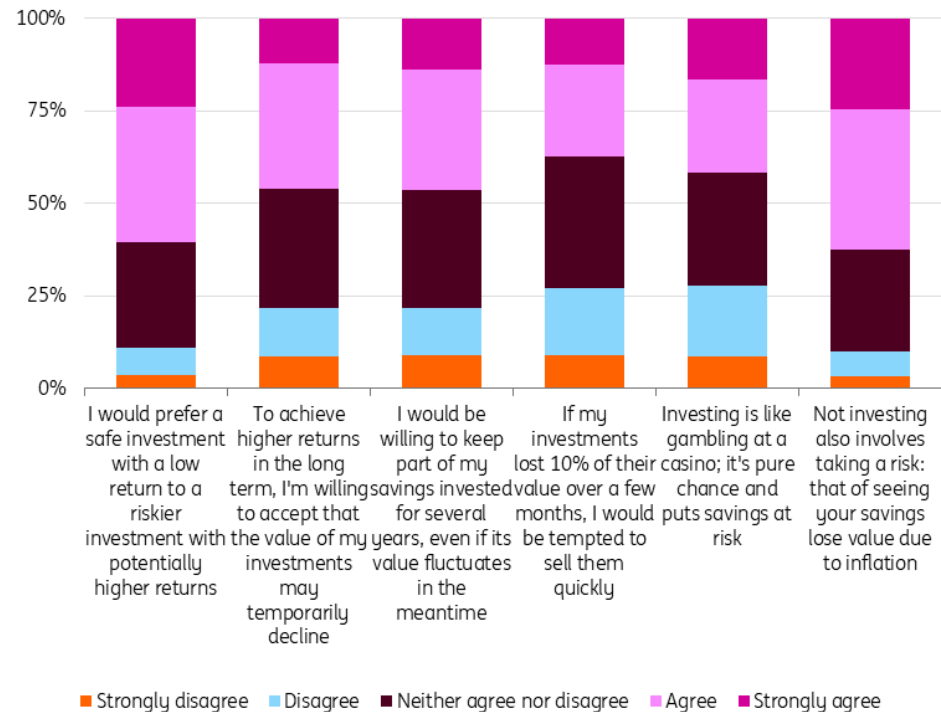
Note: Eurozone refers to the weighted average of the six representative countries

Source: ING Consumer Research

Europeans are cautious, but not blindly so. Although 59% prefer safety and low returns, 46% would tolerate temporary losses for higher long-term gains and 61% understand that inflation erodes uninvested savings. Deposits remain dominant not because Europeans ignore the benefits of investing, but because liquidity and risk still feel easier to manage in cash.

Europeans see the cost of cash, but still choose safety

Eurozone average of respondents answer to: *To what extent do you agree or disagree with the following statements regarding the risk of an investment?*



Source: ING Consumer Research

What European household investments actually returned

Keeping money in deposits protects its nominal value, but limits households' exposure to investment income and rising financial markets.

Using Eurostat's household financial accounts, we estimate the historical total return on eurozone households' investment funds and listed equities. Unlike simulations based on a stock market index or an idealised investment product, our estimates track the portfolios households actually held. They incorporate the valuation gains and losses recorded on those assets, together with income received by investors, after the costs already reflected in the observed returns. The exercise therefore does not assume that households selected the best-performing products or followed an optimal investment strategy. It measures what their investments actually earned.

What €100 invested could have become

Estimated historical total return on the assets held by eurozone households, including valuation effects and investment income

Historical period	Investment funds	Listed equities
5 years (2021-2025)	€ 131	€ 173
10 years (2016-2025)	€ 154	€ 239
20 years (2006-2025)	€ 241	€ 348
24 years (2002-2025)	€ 271	€ 402

Note: Total return combines valuation gains and losses with investment income. For investment funds, income includes amounts attributable to fund shareholders; for listed equities, it includes dividends. Historical performance does not guarantee future returns.

Source: Eurostat, ING calculation

The results are interesting. Between 2002 and 2025, the investment-fund portfolios (which comprise both equities and bonds) held by eurozone households generated an estimated total return of 171%. In other words, €100 invested at the beginning of the period grew to approximately €271, including valuation changes and income received by fund shareholders. Over the same period, €100 placed in deposits by European households grew to €132.5 (+32% over the period, according to European Central Bank data).

Listed equities delivered an estimated total return of 302%, including market value changes and dividend income. €100 invested in 2002 therefore grew to approximately €402 by 2025. The same pattern appears over shorter periods: the portfolios actually held by households generated considerably higher cumulative returns than their initial value, although returns varied by asset class and investment horizon.

These returns are independent of how much households might have moved out of deposits. The size of the portfolio shift determines the amount of capital invested, but not the historical performance of the assets themselves (we take them as a given). The next question is therefore one of scale: what would these returns have meant for eurozone household wealth under a somewhat more investment-oriented allocation?

The macroeconomic cost of playing it safe

Europeans would not have needed to abandon deposits to make a meaningful difference to their wealth. We consider a simple counterfactual: what if eurozone households had invested 25% of the money they directed to deposits each year?

This changes the allocation of new savings, not the stock of deposits already accumulated. The amount reallocated therefore varies with annual deposit flows, while the remaining 75% continues to go into deposits. Between 2002 and 2025, deposits received an average of 48.5% of household financial-asset transactions. Under this scenario, their share would still have averaged 36.4%, or more than one-third of new flows.

Even this gradual shift could have made households substantially wealthier. If the reallocated flows had earned the total return of the investment funds actually held by eurozone households, financial wealth could have been around €1.17 trillion higher by 2025, equivalent to 7.4% of GDP. If invested in the listed equities actually held by households, the estimated gain would have reached €2.79 trillion, or 17.7% of GDP.

The longer the investment period, the larger the effect of income, market gains and compounding. Over 20 years, the estimated additional wealth reaches €810 billion in funds and nearly €2.0 trillion in listed equities. Over 10 years, the gains are around €266 billion and €695 billion, respectively. Even over five years, they amount to approximately €71 billion and €169 billion.

These estimates do not assume that households bought an index or selected the best-performing products. They use the estimated historical total returns of the funds and listed equities households actually held. Each year's reallocated flow is invested at that point in time and compared with what it would have earned in deposits. The reported gain is the difference between the two accumulated values, not the gross value of the investment portfolio.

The results vary with the asset class and starting year. Listed equities delivered higher returns over the periods considered, but with greater fluctuations. Their estimates are also less robust because dividend data does not cover all eurozone countries consistently every year. These figures should therefore be read as an illustration of the historical opportunity cost of favouring deposits, not as a forecast of future returns.

The conclusion is nevertheless clear: Europe's preference for deposits has cost households more than purchasing power lost to inflation. A moderate shift in the allocation of new savings could have produced materially higher household wealth over time.

How much additional wealth could a shift towards investing have created?

Estimated additional eurozone household wealth in 2025 relative to leaving the same annual amounts in deposits (and in % of GDP in 2025).

What if one quarter of new deposit flows had been invested instead?

Counterfactual: each year, 25% of the amount actually directed to deposits is invested instead in either investment funds or listed equities. This shift only concerns new savings. The existing portfolio remains unchanged.

Historical period	Investment funds	Listed equities
2021–2025 5 years	€71bn 0.5% of GDP	€169bn 1.1% of GDP
2016–2025 10 years	€266bn 1.7% of GDP	€695bn 4.4% of GDP
2006–2025 20 years	€810bn 5.1% of GDP	€1,999bn 12.7% of GDP
2002–2025 24 years	€1,168bn 7.4% of GDP	€2,793bn 17.7% of GDP

Note: Figures show additional wealth, not the gross value of the investment portfolio. Historical performance does not guarantee future returns.

Source: Eurostat, ING calculations

Europe's savings could work harder

Europe's preference for deposits has carried a cost not only for households, but potentially for the wider economy. Higher returns could support household wealth and, over time, consumption. Greater participation in capital markets could also direct more European savings towards business investment.

The first signs of change are already visible in the recent rise in investment fund flows. If that shift continues, Europe's savings could work harder on both sides of the economy, building more household wealth while providing more capital for growth.

Notes on methodology

The analysis uses Eurostat household financial accounts to estimate the historical total returns on the investment funds and listed equities actually held by eurozone households. The longest calculation covers 2002 to 2025, reflecting the availability of sufficiently consistent eurozone data. The same approach is applied over 20, 10 and five-year periods.

Total return combines changes in asset values with investment income. As direct, fully harmonised eurozone revaluation series are not available for every component and year, valuation effects are estimated from annual changes in household holdings that are not explained by net transactions. This residual principally captures market-price gains and losses, although it may also include other changes in volume or statistical classification.

Investment income is taken from Eurostat's non-financial transaction accounts. Income attributable to investment-fund shareholders is measured relative to average investment-fund holdings, while dividend income is measured relative to average equity holdings. Where country-level observations are unavailable, annual income yields are estimated from the reporting eurozone countries and weighted by their corresponding household asset holdings. Dividend coverage is limited in

some years, including for several large countries, which makes the listed-equity estimates less robust than the investment-fund results.

The estimated valuation effects and income yields are combined to calculate annual total returns. These annual returns are then compounded to show the historical performance of the portfolios actually held by households. The return series is independent of the size of the counterfactual reallocation.

The counterfactual applies one annual shock to household financial transactions. In each year, 25% of the observed transaction flow into currency and deposits is removed from deposits and invested instead. The remaining 75% continues to flow into deposits. This is a proportional reduction in each year's deposit transaction, rather than a fixed percentage-point reduction in deposits' share of transactions.

Two alternative destinations for the reallocated flow are presented separately. In the first calculation, the flow is invested in the investment-fund portfolio held by eurozone households. In the second, it is invested in their listed-equity portfolio. These are two illustrations of the destination of the same 25% shock, not two different shock sizes.

Each annual contribution earns the subsequently observed total return of the relevant asset class until the end of the simulation period. The same contribution is also accumulated at the return it would have earned in deposits. Deposit returns are derived from ECB household deposit-rate data and combine overnight deposits, deposits with an agreed maturity and deposits redeemable at notice, weighted by the outstanding balance of each category.

The reported wealth effect is the difference between the accumulated value of the counterfactual investment and the value of the forgone deposit position. It therefore measures additional wealth relative to the observed deposit alternative. It does not report the gross counterfactual investment portfolio.

The average transaction shares shown in Table 2 are calculated separately for each historical period. Consequently, the average observed deposit share and its counterfactual counterpart differ across the twenty-four, twenty, ten and five-year calculations. For example, over 2002 to 2025, the observed average is 48.5% and the counterfactual average is 36.4%. Over 2021 to 2025, the corresponding averages are 38.2% and 28.7%.

Financial account values are expressed in current-price millions of euros and converted into billions for presentation. GDP percentages compare the estimated additional wealth at the end of each calculation with eurozone GDP in 2025. Per-household figures are intentionally not shown in the revised table.

The results are historical counterfactual estimates. They are not forecasts, recommendations or expected returns for any particular investment product. Historical performance does not guarantee future returns.

How Europe can turn its investment gap into an opportunity

European households are saving more than they did before the pandemic, but how they save matters. Their preference for deposits over investments has meant missing out on market-driven wealth gains. But rising flows into investment funds recently, together with a large pool of potential investors, suggest this legacy could change



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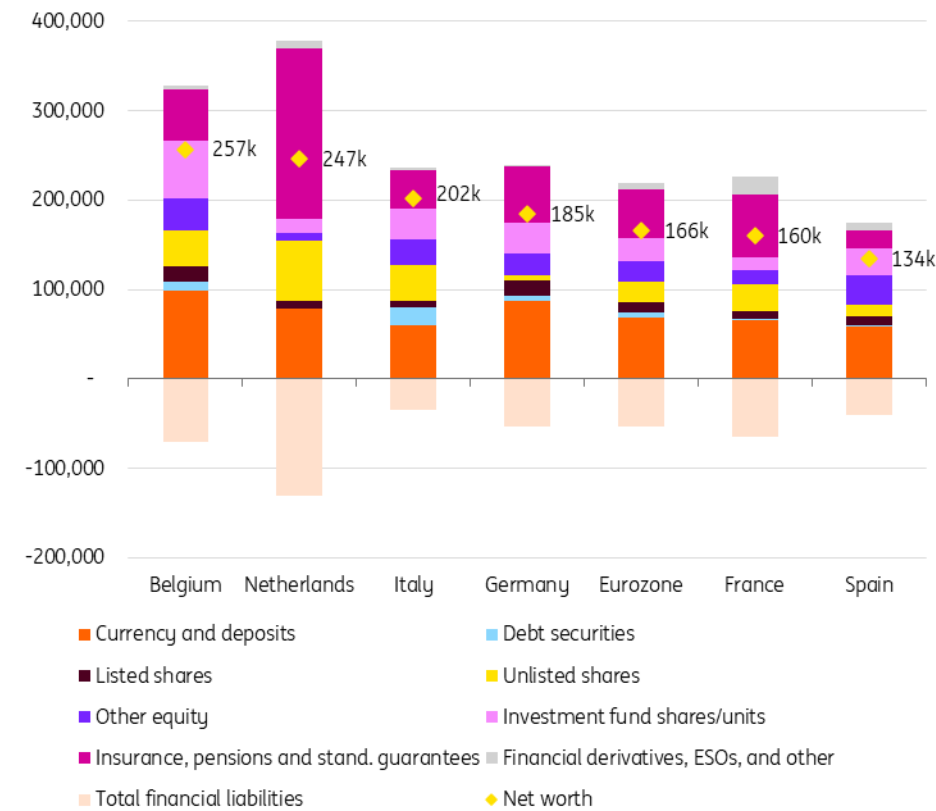


Past choices are visible in today's balance sheets

Household balance sheets reflect decades of saving and investment decisions, asset-price movements and institutional arrangements. In 2025, eurozone households held almost €220,000 in financial assets per household, including €69,000 in deposits, €56,000 in insurance and pension entitlements, €46,000 in unlisted equity and €43,000 in market-based assets. Average financial liabilities stood at €53,000. The level and composition of wealth differ markedly across countries. These differences reflect not only household investment choices, but also income, demographics, home ownership, taxation and pension systems.

Household financial wealth varies widely across Europe

Financial assets and liabilities, households (& NPISHs), average per household, 2025, €

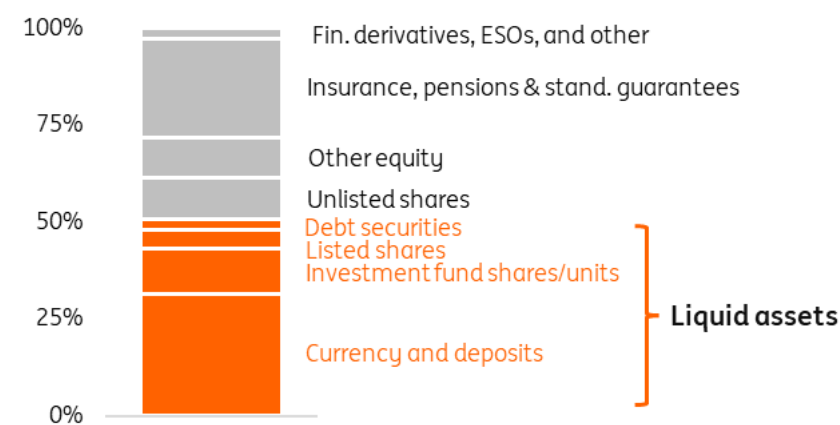


Note: Average holding is calculated as the total stock in balance sheets divided by the total number of households.
Source: Eurostat, EU-LFS, ING calculations

To focus on assets over which households generally have more direct control, we narrow the comparison to currency and deposits, investment funds, listed shares and debt securities. Together, these relatively liquid assets account for around half of eurozone household financial wealth. Deposits alone represent 31% of total financial assets, while the three market-based categories account for another 19%. Of course, pension entitlements, insurance products and unlisted equity are also important components of wealth, but households cannot usually reallocate them as readily as money held in deposits or investment products. The liquid part of the balance sheet therefore offers a clearer view of households’ immediate portfolio choices.

Only about half of financial wealth is readily reallocated

Composition of total financial assets, eurozone, 2025



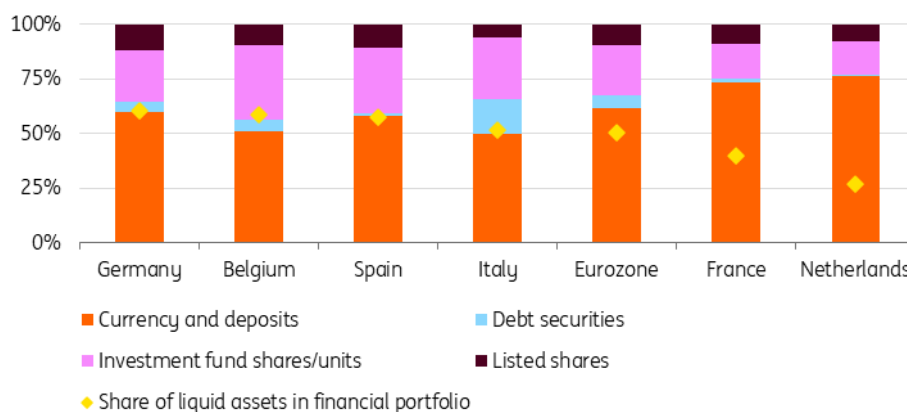
Source: Eurostat, ING calculations

Europe remains deposit-heavy, although the balance is shifting

Within these liquid portfolios, deposits remain dominant. They account for 62% of the eurozone total, compared with 23% for investment funds, 10% for listed shares and 6% for debt securities. The preference for deposits is even more pronounced in France and the Netherlands, where they represent 73% and 76% of liquid assets, respectively. Belgium and Italy hold larger shares of their liquid portfolios in market-based assets.

Deposits dominate liquid assets, especially in France and the Netherlands, where liquid assets are also a smaller part of the financial portfolio

Composition of liquid assets and its share in total financial portfolio, 2025

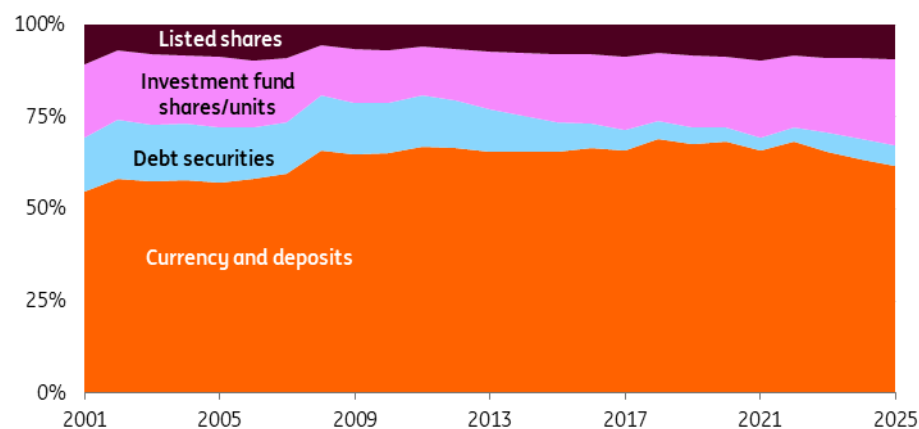


Source: Eurostat, ING calculations

The composition is beginning to change. Investment funds accounted for 23% of eurozone liquid assets in 2025, up from 20% in 2019, while the listed-share component rose from 8% to 10%. Over the same period, the share held in deposits declined from 67% to 62%, its lowest level since 2012. These changes reflect a combination of new investment flows and differences in asset-price performance. All in all, the direction is encouraging, but the legacy of past choices remains substantial.

Investment funds are gradually gaining ground on deposits

Composition of total liquid assets in household balance sheets, eurozone



Source: Eurostat, ING calculations

US households have benefited from much greater market exposure

The significance of Europe's deposit preference becomes clearer when its household balance sheets are compared with those of the United States. Currency and deposits account for more than 30% of eurozone household financial assets, compared with around 10% in the US. In contrast, listed equities, investment funds and debt securities represent approximately half of US household financial wealth, compared with about one-fifth in the euro area. Eurozone households hold a larger share of their wealth in

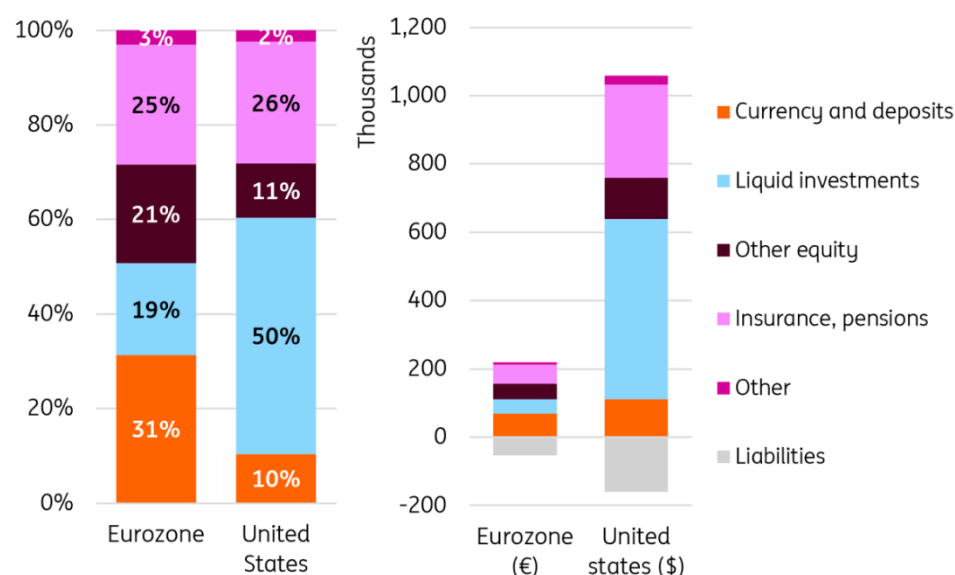
unlisted equity. This partially reflects Europe's greater reliance on small and medium-sized enterprises, as household ownership stakes in privately held businesses are recorded as unlisted shares.

This is not a perfect product-for-product comparison. US households often obtain market exposure indirectly through funds, managed assets and retirement vehicles, while eurozone financial accounts classify shares, investment funds, insurance and pension entitlements separately. The figures should therefore be read as an indication of the broad role played by market-based assets in household balance sheets, rather than as a comparison of identical financial products.

Even with that qualification, the difference in scale is striking. The average US household held almost \$530,000 in liquid market-based investments in 2025. By comparison, the average eurozone household held approximately €220,000 in total financial assets, including deposits, pensions, insurance products and unlisted equity. After conversion using the average 2025 exchange rate applied in the analysis, average US financial wealth was more than four times higher.

US household wealth is far more exposed to financial markets

Panel A: Composition of balance sheets, 2025 Panel B: Average household holdings, 2025



Note: Liquid investments are an aggregation of listed equities, investment fund shares, money market fund shares and debt securities. This aggregation is necessary as the underlying classifications are not directly comparable. For example, as equities in the US comprise both directly and indirectly held securities and cannot be compared directly to listed or unlisted shares in the eurozone.

Source: Eurostat, EU-LFS, Fed, FRED, ING calculations

Asset allocation is not the only explanation for this gap. Differences in incomes, economic growth, pension arrangements, asset prices and household structures also matter. But greater exposure to financial markets has allowed US households to benefit much more from rising valuations. Investment has not merely changed the composition of American household wealth. It has also contributed to its growth.

The gap is not only about the wealthiest households

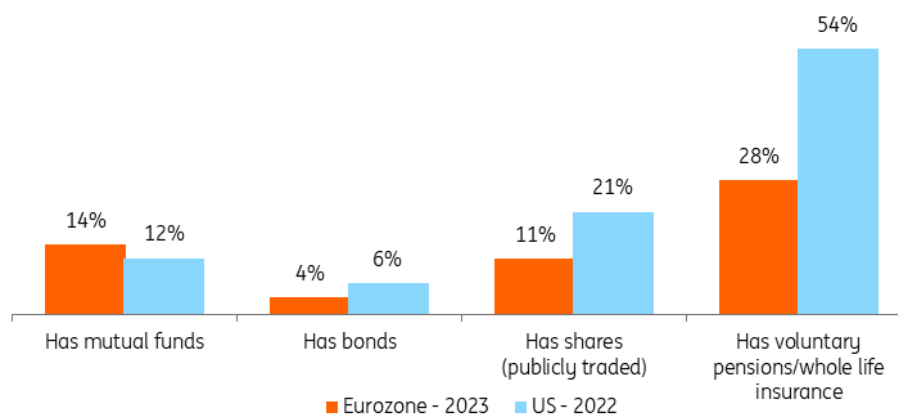
Average holdings must be interpreted carefully because financial wealth, and market-based wealth in particular, is highly concentrated. Among US households with direct or indirect stock holdings, the average amount invested in 2022 was approximately \$489,000, almost 10 times the median holding of \$52,000. This large gap shows how strongly the average is influenced by households with the largest portfolios.

Concentration is, however, not the whole story. According to [Fed SCF data](#), some 58% of US households held stocks directly or indirectly in 2022, including through mutual funds, retirement accounts and other managed assets. The US model therefore combines broad participation with a highly unequal distribution of the amounts invested.

No direct equivalent aggregate measure is available in the published eurozone household finance tables. European statistics ([HFCS survey](#)) report listed shares, investment funds and voluntary pensions separately, without identifying the overlaps between their holders or the exposure to equities within funds and pension products. Product-level figures nevertheless indicate that direct ownership of shares and several other market-based products is less widespread in the euro area.

US investment is unequal, but also relatively widespread

Participation rates in financial assets, %



Note: Assets classifications differ across both surveys, and the closest match is considered. For US deposits, the highest participation rate between holding transaction accounts and certificates of deposit is shown. Bonds consider savings bonds and directly held bonds. Shares correspond to directly held stocks, mutual funds to pooled investment funds, voluntary pensions to cash value life insurance and retirement accounts; and other corresponds to other managed and financial assets.

Source: ECB HFCS, Fed SCF

Europe's investment gap is also an action gap

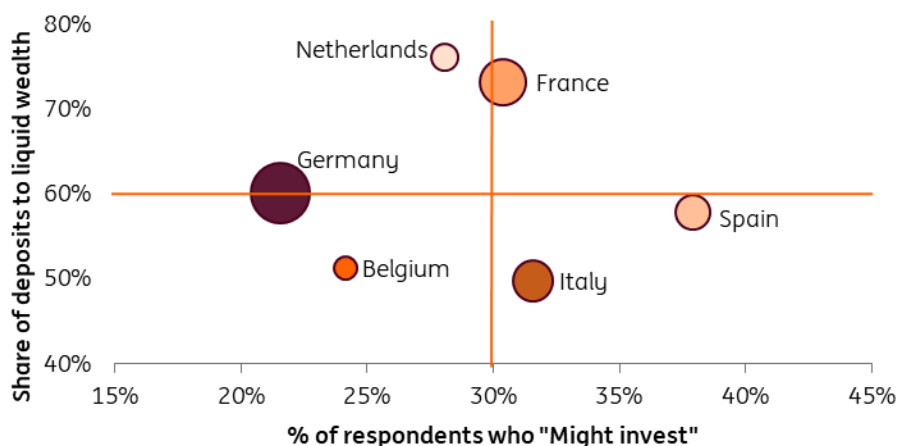
Official household surveys, however, are published with a lag and cannot fully capture the recent increase in European flows into investment funds. The ING Consumer Survey provides a more current view on participation and intentions. We find that 41% of Europeans say they already invest in shares, bonds, funds or ETFs, and 33% do not currently invest but say that they might do so in the future. The remaining 27% say that they do not intend to invest, including a small group who invested in the past but do not plan to do so again.

The most striking finding is the size of the group that is open to investing but has not taken the first step. One in three Europeans are potential investors. In several eurozone countries, potential investors are almost as numerous as those already investing. Europe's retail investment gap therefore does not appear to reflect a widespread rejection of financial markets. For many households, the willingness is there, but it has yet to translate into action.

Germany, France and Italy hold the largest deposit volumes (graph below), reflecting the size of these economies, but they also report higher levels of capital market participation. The Netherlands and France, with their high deposits to liquid wealth ratios, show greater potential of redirecting some liquid wealth into investments, but they don't have the strongest willingness. The best opportunities may therefore be in Italy and Spain, where households show a greater willingness to invest while still holding higher deposits overall, and also a sizeable share of their liquid assets in deposits.

The opportunity to mobilise household savings into capital markets

Amount of allocatable deposits and willingness to invest



Note: The bubble size represents the total amount of deposits in the country. The orange shading indicates the share of respondents who indicate "invest now in shares, bonds, investment funds or ETFs", with darker shades representing a higher proportion who currently invest.

Source: Eurostat, ING Consumer Research

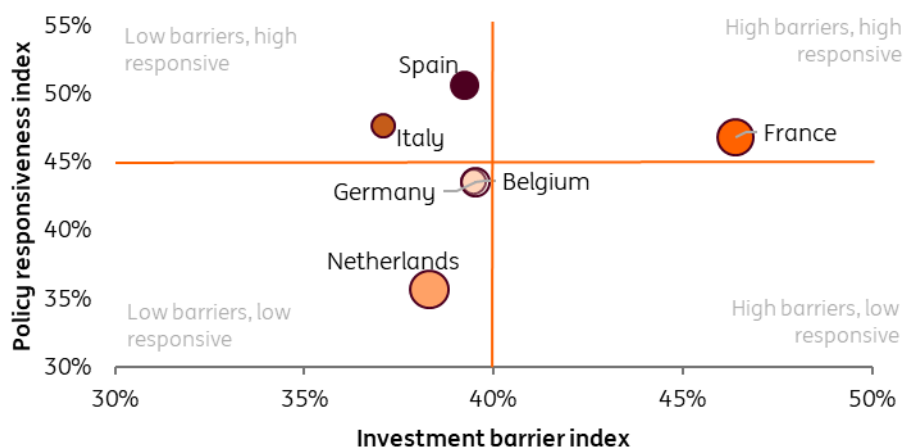
Turning willingness into investment

The rise in investment-fund flows suggests that Europe's investment landscape is already changing. Around one-third of respondents who do not currently invest say that they might do so in the future. Europe therefore has no shortage of potential investors. The challenge is to turn that potential into participation.

Our survey tested five possible ways of making that route easier: tax-free or tax-advantaged investment accounts, simpler investment products, lower-cost products, employer-based investment or pension schemes, and better access to independent financial advice. In some countries, like Spain and Italy, many say they would invest more if these changes were made. In others, like the Netherlands, few people say they would be more inclined to invest if policies were changed.

Turning potential investors into investors will require different solutions

Investment potential between countries, 2025



Note: The bubble size represents deposits as a share of total liquid assets. The orange shading indicates the share of respondents who indicate "might invest in shares, bonds, investment funds or ETFs", with darker shades representing higher intention to invest. The policy responsiveness index is the simple average of share of respondents who say that each of five measures - tax-advantaged accounts, simpler products, lower-cost products, employer-based schemes and better access to independent financial advice - would make them more likely to invest or invest more. The investment barrier index is the simple average share reporting nine barriers related to insufficient savings, risk aversion, limited knowledge, costs, taxes, complexity, limited perceived need to invest, liquidity preferences and saving for a specific goal. Quadrants are divided based on means of the barriers.

Source: Eurostat, ING Consumer Research

Europe's investment gap is an opportunity for growth

The investment opportunity takes different forms across Europe. Spain combines a large pool of potential investors with relatively low barriers and strong responsiveness to the measures tested. Italy also looks well-placed to advance: many respondents might invest, obstacles are comparatively limited and the proposed measures receive a positive response. In both countries, the foundations for broader participation appear to be in place.

France and Germany offer scale but are harder to unlock. French households hold substantial amounts in deposits and respond comparatively well to the measures tested, despite high barriers and limited initial openness to investing. Germany also has a large pool of deposits, both in absolute terms and as a share of household wealth, but relatively few respondents say they might invest; reported barriers and policy responsiveness are closer to the European average. France may respond to stronger intervention, while Germany may require a broader shift in engagement as well as policy support.

Europe will not close its wealth gap with the United States overnight. But rising investment-fund flows and a large pool of potential investors show that the shift has already begun. The priority will differ across countries: some need to accelerate an existing move into investment, while others need stronger incentives and support to unlock savings still concentrated in deposits.

Helping more households invest an appropriate share of their savings could strengthen household wealth and, over time, support consumption, business financing and economic growth. Europe has savings and many households have the intention. The task now is to remove the specific barriers that prevent those intentions from being translated into action.

Europe's investment gap: why millions of savers remain on the sidelines

Europe is still largely a continent of savers, though a gradual shift is underway. Nearly three quarters of households have savings, and around 4 in 10 Europeans already invest. Among savers, 30% are considering investing in the future, while half are already investors. Younger generations show notably greater openness to investing



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Contrary to popular belief, Europeans have only recently turned into the super-savers they are often portrayed as. But another widespread assumption holds true: A much smaller portion of their financial assets is held in investments compared to US households. Policymakers want to turn saving-savvy Europeans into investors. The reasons for this are twofold: On the one hand, getting Europeans to invest would unlock significant capital that their economies could put to use. On the other, Europeans are missing out on a lot of potential wealth by saving too much and investing rather little. For the eurozone alone, our calculations show that shifting just five percentage points of household financial assets from deposits to investment funds would have made households €1.17 trillion richer over the 2002-2025 period. Given this, it is important to understand, if most households have the ability to save, why do so many stop there?

According to our survey, the answer lies in a combination of barriers. Some consumers are concerned about risk. Others feel they lack the necessary knowledge. Many believe they do not have sufficient resources available to invest. And a significant minority view taxation as an obstacle that reduces the attractiveness of investing altogether. It would appear that Europe is not uninterested in investing, but often uncertain about it.

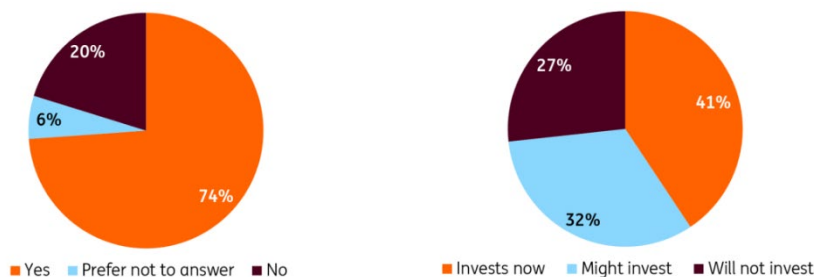
From saving to investing: focusing on those who might consider it

The distinction between saving and investing is more important than it may initially appear.

Saving is generally associated with security. Money remains accessible, risks appear limited and outcomes are predictable. Investing requires a different mindset. It asks consumers to exchange certainty today for the possibility of higher returns in the future. However, people tend to place greater weight on potential losses than equivalent gains. Our survey results suggest that this dynamic continues to influence financial decision-making across Europe.

Most Europeans save, but only a minority invests

“Does your household have any savings?” and “Do you currently invest yourself in shares, bonds, investment funds or ETFs?”



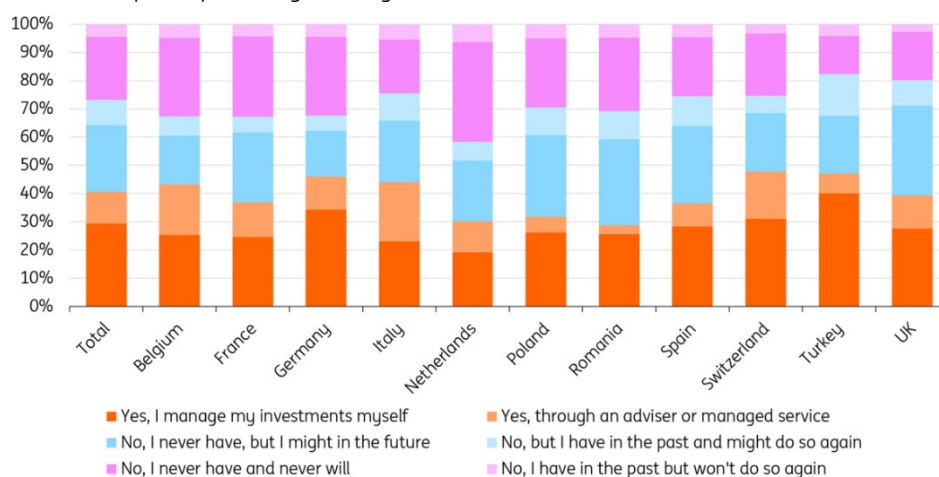
Source: ING Consumer Research

While 74% of respondents report having savings, only 41% currently invest. The result is a sizeable investment gap. Perhaps more importantly, it reveals a substantial pool of consumers who have accumulated financial resources but remain outside investment markets. Among those respondents with savings, around half of them currently invest. But another 31% of them say they might do so in the future.

Across all respondents, the share of potential investors is almost as large as the share of current investors. Approximately one-third of respondents say they do not currently invest but could imagine doing so in the future, with numbers ranging from less than a quarter in Germany and Belgium to around 40% in Poland, Romania, Spain and the UK.

The Swiss, Germans, Italians and Belgians are Europe's leading investors

Investment participation by country



Note: Our survey results show higher percentages that say they currently invest than various available measures. This might partly be attributable to the fact that our survey is online-based – active internet users are more likely to follow the recent trend of trading through mobile apps. In addition to this, there might be methodological differences: Other measures might only count equity investors while our survey includes bondholders. And our results are expressed as a percentage of the adult population, not the total.

Source: ING Consumer Research

For policymakers, financial institutions and consumer organisations, this distinction matters. Potential investors differ clearly from convinced non-investors. Their hesitation appears to reflect barriers that may be overcome rather than a rejection of investing as a concept.

The survey suggests that European consumers can broadly be divided into three groups

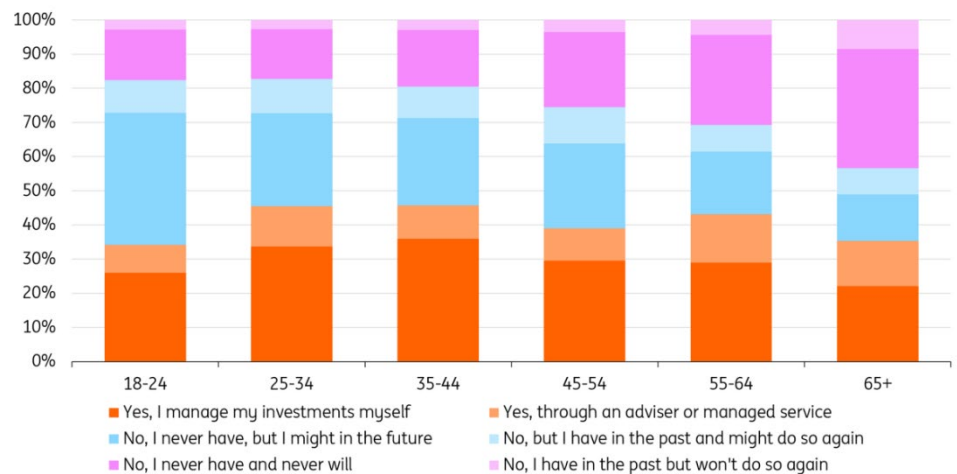
The first group consists of current investors. These respondents are generally more confident in their understanding of investments, more comfortable with risk and more likely to have higher incomes and levels of education. Among this group, concerns tend to focus less on whether to invest and more on practical considerations such as costs

and taxation. These two aspects are among only a few that current investors consider more of a barrier than potential and non-investors.

The second group consists of potential investors. This segment may be the most interesting for Europe's stated ambition of getting households to invest more. These individuals do not currently invest, but they have not ruled it out. They are often younger than average: Firstly, respondents aged 25 to 44 display some of the highest levels of investment participation already. Secondly, younger adults who do not invest today are the most likely to say they may invest in the future. This suggests a considerable amount of latent demand among younger Europeans and a corresponding uptick in future overall investment participation.

Untapped potential among the youngest

Investment participation by age group



Source: ING Consumer Research

The third group consists of non-investors who say they do not intend to invest. In addition to typically being older, this group is generally characterised by lower confidence, greater risk aversion and a stronger perception that investing is not relevant or appropriate for their circumstances. In many cases, they feel that they do not have the money necessary to start investing in the first place – 62% of non-investors say that the statement “My household has too little savings to invest” applies to them. For those who feel hindered by this aspect, there is fairly little that can be done short of putting more money in their pocket. This group will therefore not be the focus of our analysis.

The differences between these groups reveal an important insight. The challenge is not simply persuading non-investors to become investors. Rather, it is about focusing on the large group of consumers that remains stuck between intention and action. Given the importance for the economy and Europe's stated objective of getting more households to invest, we'll be looking into what is holding people back.

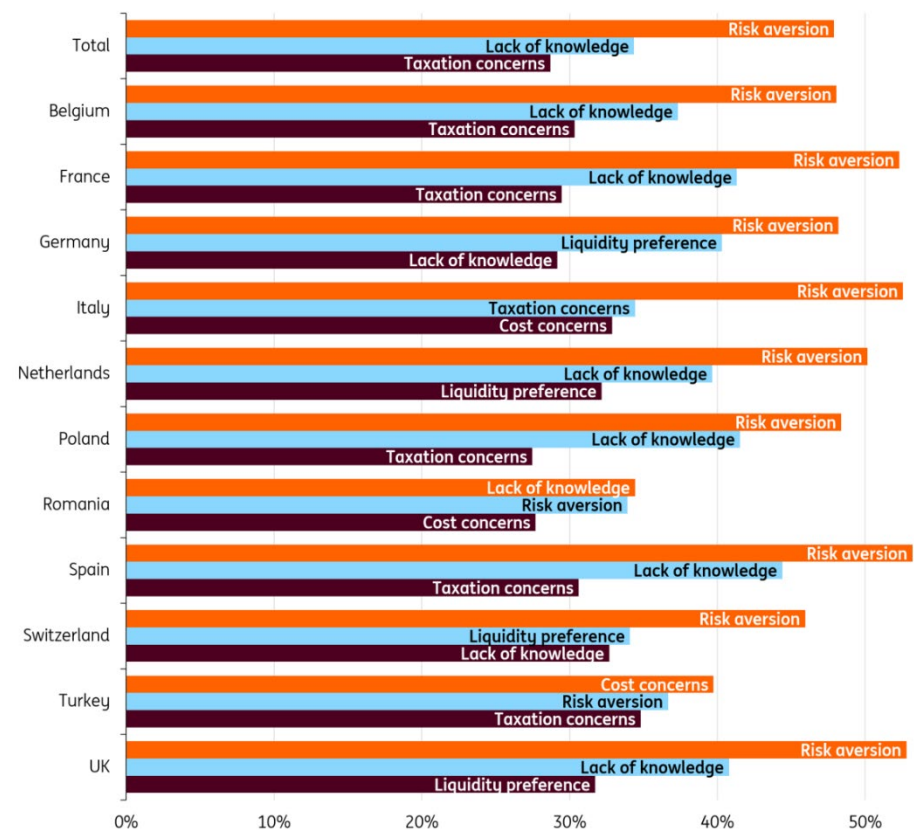
The barriers behind the hesitation: risk, knowledge, taxes

When excluding responses referring to simply not having the money, three barriers stand out for keeping people from investing across countries and demographic groups:

- The first is a reluctance to take investment risk.
- The second is a perceived lack of investment knowledge.
- The third is concerns around taxation.

Risk aversion is top concern nearly everywhere

Ranked top three barriers by most current and potential investors per country



Excluding "Too little savings"

Source: ING Consumer Research

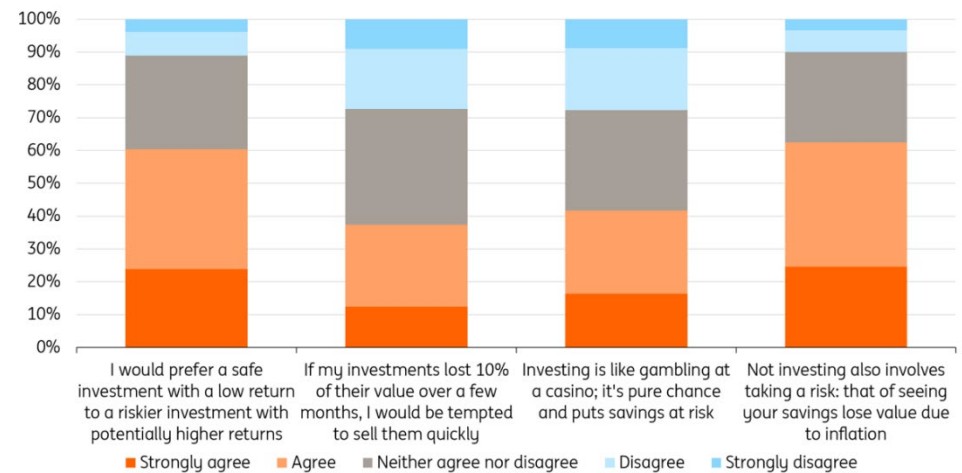
Risk aversion is widely cited as one of the most important barriers to investing – or to investing more than people currently do. 20% list it as the one factor that most prevents them from investing. More than half of all participants have it as at least one of their top three barriers; among those who don't currently invest but might, the number is even higher.

Many view investing as pure chance

When it comes to risk, our survey also reveals an apparent contradiction in consumer attitudes towards risk. Many respondents agree with the principle that long-term investing requires accepting short-term fluctuations. Yet a substantial share also say they would be tempted to sell investments following a relatively modest market decline. And 42% - from 34% in Turkey to 50% in Poland - agree with a statement that compares investing to gambling at a casino and calls it "pure chance". Even 28% of current investors are in agreement.

Risk-averse, but well aware of inflation

Agreement and disagreement with statements around investment risk



Source: ING Consumer Research

Those numbers are quite striking – particularly because the statement in question is far from the truth. Investing might not provide the cosy security of a yearly account statement like saving does – but with a well-diversified approach and a sufficiently long-term horizon, risk can be lowered significantly. Measured in euro, the longest drawdown of the MSCI World, an index that serves as a basis for many passively managed exchange-traded funds (ETFs), was 13 years and 8 months following the dotcom crash in 2000. That certainly underlines what a long-term investment horizon really means: it may require more than a decade of patience.

It also means that historically, this index has never taken longer than that to climb back to its previous high. Of course, past performance is no guarantee of future returns.

Speaking of the dotcom crash, it probably played a role in shaping the “casino” connotation among those who are old enough to remember it; younger participants subscribe to that statement in lower numbers than older ones. A lower level of risk aversion and a higher willingness to see through fluctuations are also notable among younger generations – naturally so, as nearing retirement will usually shorten the time horizon and thus limit the possibility to make up for losses.

Selling at dips should be avoided, because it first realises a loss and then leaves the ex-investor on the outside looking in while share prices recover. But over a third of respondents say they would be tempted to do just that – for those that might invest, but don't currently, that number rises to 42%.

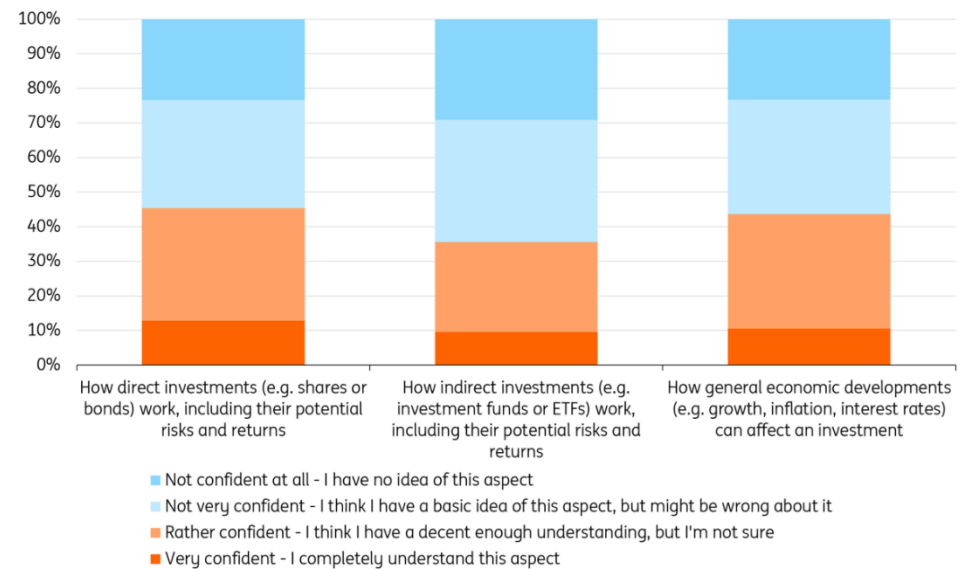
At the same time, 62% are aware that not investing also involves a risk: that of inflation eating up the interest payments (or more) on a savings account. Apparently, the inflationary experience of the past few years and the resulting higher inflation expectations have sharpened the eye for this aspect and could be a factor in getting more Europeans to invest.

Knowledge remains a critical factor

One of the strongest themes running through the survey is knowledge. Current investors consistently report higher levels of confidence in their understanding of how investments work and how they might be influenced by economic developments than both potential investors and non-investors.

Less than half feel confident about their investment knowledge

Reported confidence in knowledge around aspects of investments



Source: ING Consumer Research

But those who report less confidence in their understanding of investments might not be aware of what they actually need to know. If you subscribe to the popular misconception of the stock market as a zero-sum game, where someone's gain is always someone else's loss, it's logical for you to think that you must beat the market in order to come away better off than before. You'll assume you have to be better than average at picking stocks and timing your sales and purchases.

That would indeed require a lot of knowledge. But it isn't true – as we have shown, households' actual investments would have been good enough to make them considerably better off if they had just put more of their assets into them. Adhering to a few basic rules will set an investor up with a very good chance at long-term success:

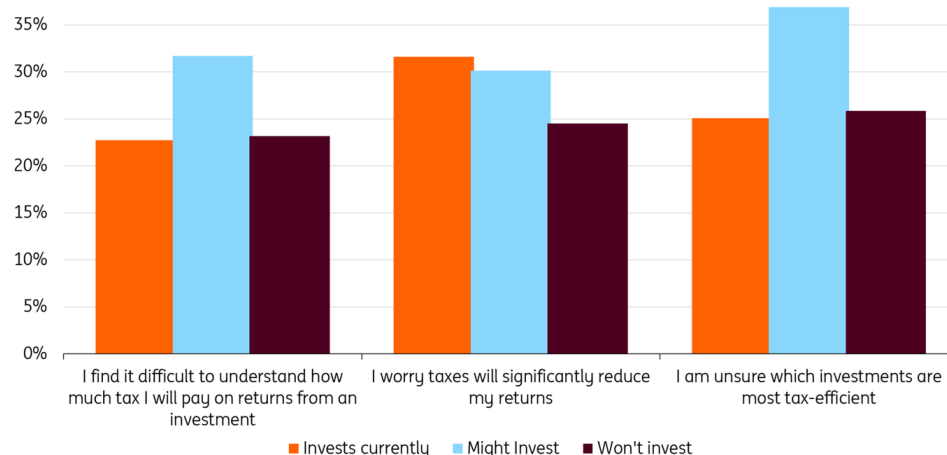
- Invest with a long time horizon and only with money that you won't need during the foreseeable future.
- Don't put all eggs in one basket – diversify across geographies and industries.
- Don't buy and sell a lot trying to get the timing right – instead, have the patience to see through dips.

How does taxation shape investment participation?

Although taxation is not the most frequently cited barrier, it occupies third place among the barriers considered for our analysis (excluding "My household has too little savings to invest"). In addition, 54% agree that "a tax-free or tax-advantaged investment account would make it more likely for me to invest (or invest more than I currently do)" – that's considerably more than those who say the same thing about simpler or lower-cost investment products, employer-based schemes or better access to advice.

Taxes are misunderstood

Agreement with statements around aspects of taxation



Source: ING Consumer Research

Interestingly, taxation appears particularly relevant among consumers who are already relatively close to investing. Unlike savings constraints, which can prevent participation altogether, taxation concerns often arise later in the decision-making process. In other words, they may affect consumers who have already overcome some of the more fundamental barriers. This finding has broader implications.

Across Europe, efforts to encourage greater household participation in capital markets often focus on increasing financial literacy or reducing investment costs. That is important.

However, the survey suggests that (perceptions of) tax treatment also deserve attention. Consumers are more likely to engage with financial products when they feel able to understand the after-tax consequences of their decisions.

Cross-country comparisons and longitudinal studies clearly show that the design of taxation and pension institutions can influence whether households invest, how they invest and how much they invest. There are ample examples of how institutional settings shape household behaviour.

- European pay-as-you-go pension schemes reduce the need for households to invest compared with the United States. Across our key markets, an average of 22% of respondents say they do not consider investing necessary because they believe they are well prepared for the future, including retirement. At the same time, pay-as-you-go systems imply a higher tax burden. This may contribute to the 40% of respondents who say they have no money available to invest.
- The Netherlands shows how tax incentives and regulation can direct large amounts of household wealth into second-pillar pension funds. Dutch households rank among Europe's leading investors when pension assets are included. Their direct investments, however, remain below the European average, including relative to deposits. This may partly reflect the relatively large share of Dutch respondents, 30%, who say they do not need to invest because they are already well prepared for the future.
- In Sweden, the introduction of the tax-advantaged ISK in 2012 was intended to encourage investment in funds and shares. By 2023, the number of unique account holders had increased more than fifteenfold, and over 80% of the assets were invested in equity or balanced funds. With the increase in the tax-free limit in 2026, the government aims to broaden participation further.

- Denmark introduced its tax-advantaged stock savings account, the Aktiesparekonto, in 2019. The account has grown by 38% per year, while other pension tax incentives have encouraged financially active households to shift assets into tax-favoured retirement accounts.
- Policies not directly aimed at encouraging investment may still have an impact on household behaviour. In France, political instability, an ageing population, and an uncertain economic climate have raised financial savings rates. Some 77% note that uncertainty about future pensions means it is important to prepare for the future and 80% also worry that high public debt today may put pressure on the future pension and social security system. These concerns, coupled with the decline in the Livret A rate (government-regulated and tax-exempt traditional savings accounts) starting 2025 pushed households to seek higher returns through unit-linked policies, contributing to historic inflows into life insurance and annuity entitlements.
- In the United States, the employer-sponsored 401(k) retirement plan allows employees to invest part of their salary, with employers providing matching contributions up to a limit. One study finds that tax-advantaged catch-up provisions for older workers significantly increased their 401(k) contributions. Tax treatment is not the only factor, however. Employer matching, workplace access and automatic enrolment also remain important.

The Netherlands, Sweden and Denmark stand out among the few European countries that offer tax advantages for investment. In these countries, incentives are comparable in scale to those available in the United States and relative to income, household balance sheets are much more comparable to the United States.

And things are moving in Europe's largest economy: In 2027, Germany is due to introduce the new Altersvorsorgedepot, which will allow households to invest in funds and ETFs for retirement with government contributions and tax-free growth during the accumulation phase.

Our survey suggests that such changes could matter. More than half of respondents agree that tax advantages would encourage them to start investing or to increase their existing investments. Taxation may not be the first barrier consumers mention, but the experience of other countries indicates that institutional design can influence whether intention turns into action.

Policy makers have a good basis to work from

After digging into the data and the surveys, we see a good basis to work from. We found a high share of money going into savings, a recent increase in money flowing into investment funds, and a gradual increase in the importance of investments. We also found a substantial share of savers that would consider investing, especially among younger generations. It all brings us to a simple but important conclusion: Europe has the money and would consider investing.

Given these developments, we would expect to see a further uptick in the share of financial savings flowing into investments over time. But governments may want to give a further push, given the importance for both households and the broader economy. They have two types of levers.

Firstly, and most likely to lead to significant shifts, they can change institutions, similar to what happened in Sweden. Germany is in the process of doing that, which will have an impact from next year onwards. These interventions will mostly be national policies and can include taxation, automatic enrolment and a shift from pay-as-you-go to capital-funded pension schemes.

Another type of lever is about how people think and talk about risks and knowledge. As economists, we believe that Europeans do not understand investing in the right way, when a large share sees it like a casino. We don't see investing as something people do against each other or against the market – beating or timing it is not the aim. We would explain investing the way Schumpeter taught us to see it, more than a century ago: as the provision of risk-bearing capital, which enables firms to undertake productive investments that drive innovation and productivity growth. Over a sufficiently long-term horizon, this leads to profits and higher wages, hence the return for investors, while also supporting societies more broadly (where we obviously acknowledge that institutions matter greatly, both for enabling innovation as for translating it into broad-based sustainable growth).

For Europeans to benefit more from this principle, it would help to make investing both simpler and less stressful. For that, all people have to know are the three rules of thumb: a long-term horizon, diversification and minimal trading generally generate the best returns over time.

We conclude here with a glass-half-full perspective. An important shift is underway: Europe's savers are gradually becoming investors. European policymakers are working on speeding it up. That supports both households as well as future economic growth.

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